

Child Support and Labor Supply in a High-Informality Setting

*

Rosario Didier[†] Paula A. Lopez Villalba[‡]
University of Michigan University of Michigan

August 2026

Preliminary Draft. Please do not circulate.
See latest version here

Abstract

We study how mothers and fathers adjust their labor supply following family separation in a setting with widespread labor informality. We build a new dataset by combining child-support and family-court records from Ecuador and then link it to administrative records. Relative to observationally similar parents who remain in stable households, fathers' formal employment declines by 5% in the year following separation, while mothers' formal employment increases by 6%. Because family separation combines household dissolution with the onset of child-support obligations, we unpack this bundle in two ways. First, we use individuals who also experience household dissolution but do not have dependent children as an alternative control group. Second, we study parents who enter the child-support system following a first birth outside a shared household, so that child support begins without contemporaneous household dissolution. Together, the results point to child support as an important factor behind fathers' decline in formal employment. We then show that much of this decline is accounted for by a shift toward informal employment. We examine whether the child-support system can contribute to this response and find that fathers who remain formally employed through the hearing face 20% higher obligations, conditional on pre-filing formal labor income. We estimate a model of household labor supply, fertility, and divorce and show that child-support incentives can induce formal-to-informal switching.

Keywords: Child support, Family, Latin America, Labor supply

JEL Codes: J2, J12, J13, J16

*This research has received IRB approval from the University of Michigan (HUM00251085). We are especially grateful to our advisors Sara Heller, Ana Reynoso, Mel Stephens, Katherine Micheltore, and Mike Mueller-Smith for their guidance and helpful comments. We also thank seminar participants at the University of Michigan Labor Lunch and DevLab, as well as participants at the 2025 CAF WELAC Workshop, the 2025 NTA Annual Conference and the MDev 2026 Conference for helpful comments and discussions. We thank Alejandro Acosta and Katherine Albuja for excellent research assistance. We are grateful to the Instituto Nacional de Estadística y Censos (INEC) in Quito, and in particular to Marcelo Mora and Paul Benavides, for facilitating access to the LDI and supporting the data linkages used in this paper. We gratefully acknowledge financial support from the University of Michigan Department of Economics and the Rackham Graduate School, which made this project possible. All remaining errors are our own.

[†]Didier: rosariod@umich.edu, Department of Economics, University of Michigan.

[‡]Lopez Villalba: plopezv@umich.edu, Department of Economics, University of Michigan.

I Introduction

Family separation fundamentally changes how parents provide for their children. When parents who previously lived together separate, resources that were generated and allocated within a single household must support two separate households, while children continue to depend on resources from both parents. Child-support systems are a central policy response to family separation: by requiring non-resident parents to make regular transfers, they seek to preserve children’s access to parental resources across households. These transfers can constitute an important source of income for single-parent households and materially affect children’s living standards (Cuesta et al., 2018, 2023).

Supporting children across separate households may also require parents to adjust how they generate those resources. Family separation can change parents’ financial needs and incentives to work. Child-support systems can themselves shape these decisions because obligations generally depend on parents’ earnings or economic capacities. A policy designed to preserve children’s access to parental resources after separation may therefore also affect the labor-market choices through which those resources are generated.

Labor informality adds an important dimension to these labor-supply responses. In labor markets with widespread informality, a reduction in formal employment need not imply a reduction in employment or earning capacity: workers may instead move into informal jobs. The formal–informal margin is particularly relevant for earnings-based obligations such as child support because formal labor income are typically recorded by employers and government institutions, whereas informal labor income are substantially harder to verify. Moving away from formal employment can therefore change the observability of earnings without requiring a parent to stop working.¹

We ask how mothers and fathers adjust their labor supply following family separation and how child support contributes to these adjustments. Identifying the role of child support is challenging because, for parents who previously shared a household, separation involves both the dissolution of the shared household and the onset of child-support obligations. Household dissolution can itself affect labor supply through the loss of economies of scale, changes in living arrangements and childcare responsibilities, and changes in mental health (Bonnet et al., 2021; Johnston et al., 2025; Dasgupta et al., 2025). Child support introduces a distinct change: a long-term mandated transfer between parents who no longer share a household.

We study this question in Ecuador, a setting with widespread labor informality and

¹Informality is particularly salient in developing countries, although recent evidence suggests that informal work may also be more prevalent in advanced economies than conventional statistics imply (Gunter, 2017).

a judicial child-support system in which formal employment is consequential for both the determination and enforcement of obligations. To do so, we build a new dataset that allows us to jointly observe family transitions, parents’ interactions with the child-support system, and their labor-market trajectories.

We build this novel dataset by combining child-support records with family-court proceedings and administrative data on parents’ labor-market histories. We first assemble a nationwide registry of individuals in Ecuador’s maintenance-payment system by systematically collecting individual records from its public platform and linking payers and recipients associated with the same support obligation. For pairs associated with family-law cases in the province of Pichincha, we recover their court records and reconstruct their joint family-law judicial histories, converting the underlying court files into structured information on proceedings, filing and hearing dates, the amount owed, notification attempts, payments, and enforcement. Within Ecuador’s National Institute of Statistics and Censuses (INEC), we link our dataset to monthly social-security histories and complement them with Civil Registry, Population Census, and nationally representative employment-survey data. To our knowledge, this is the first dataset in a developing-country setting to combine detailed child-support and family-court records with longitudinal administrative labor-market histories. Child-support arrangements in our data are highly gendered: in 97 percent of cases, the mother is the resident parent and recipient of child support and the father is the non-resident parent and payer. Our analysis therefore focuses on this predominant arrangement, referring throughout to mothers as recipients and fathers as payers.

Our primary analysis follows mothers and fathers as they transition from living together to living apart and enter the child-support system. We date the event at the filing of the child-support case, when support obligations begin to accrue, and trace parents’ monthly formal employment and earnings around this transition. We compare these parents with observationally similar mothers and fathers who remain married or cohabiting and do not enter the child-support system, matching them separately on age, province of residence, and their pre-event formal-earnings trajectories. This comparison captures the labor-market adjustment associated with family separation in our setting, where the dissolution of the shared household occurs alongside the onset of child-support obligations.

Mothers and fathers adjust their formal employment in opposite directions following family separation. Twelve months after filing, fathers are approximately 3.1 percentage points less likely to be formally employed than matched fathers who remain in stable households. Relative to a pre-event formal-employment rate of approximately 60 percent, this represents a decline of about 5 percent. Mothers, by contrast, become approximately 3.1 percentage points more likely to be formally employed over the following year, relative to a pre-event

rate of approximately 51 percent. Changes in formal labor income conditional on remaining formally employed are considerably smaller. The primary adjustment therefore occurs through formal-sector attachment, with fathers and mothers moving in opposite directions.

We next use complementary comparisons to understand the role of child support in these adjustments. We first hold household dissolution fixed by comparing parents in our primary sample with individuals who also dissolve a shared household but do not enter the child-support system because they do not have dependent children. Both groups experience the end of a shared household, while only the first enters the child-support system. Fathers' decline in formal employment persists in this comparison: twelve months after the event, fathers who enter child support are approximately 2.4 percentage points less likely to be formally employed. Household dissolution alone therefore cannot account for the decline in fathers' formal-sector attachment observed following family separation. For women, formal employment also rises among those who enter child support, but the comparison group is substantially smaller and the estimates are considerably less precise.

We then examine whether the same pattern emerges along an alternative pathway into child support that does not involve contemporaneous household dissolution. We identify parents whose judicial history begins around the woman's first birth and for whom we find no evidence that the pair previously shared a household, and compare them with matched parents experiencing a first birth within a stable household. Fathers entering the child-support system along this pathway become approximately 7 percentage points less likely to be formally employed after one year, while mothers become approximately 4.2 percentage points more likely to be formally employed. Fathers' decline in formal employment therefore also emerges when entry into child support occurs outside the family-separation setting of our primary analysis.

Together, these comparisons help interpret the decline in fathers' formal employment following family separation. The decline remains when we compare fathers who experience household dissolution with and without child support and also emerges when child support begins without contemporaneous household dissolution. Child support is the common component across the settings in which fathers' formal employment declines. Mothers, in contrast, generally increase formal employment, although the comparison that holds household dissolution fixed is substantially less precise.

We next ask what lies behind these changes in formal employment. Administrative social-security records reveal whether an individual is formally employed but do not distinguish informal employment from unemployment or inactivity. We therefore use the 2022 Population Census to classify individuals into four mutually exclusive labor-market states: formal employment, informal employment, unemployment, and inactivity. Because the Cen-

sus provides a single cross-section, we restrict this analysis to individuals whose reference event occurred before the Census interview, so that labor-market status is observed after the event.

Greater informal employment accounts for much of the subsequent gap in fathers' formal employment. The pattern is particularly pronounced among fathers who were formally employed before the event. In our primary comparison, initially formal fathers who experience family separation are 7.2 percentage points less likely to be formally employed at the Census date than their matched controls and 5.0 percentage points more likely to be informally employed. The corresponding differences in unemployment and inactivity are substantially smaller. Approximately 69 percent of the formal-employment gap among initially formal fathers is therefore accounted for by higher informal employment. Fathers' lower formal-sector attachment is thus largely mirrored by greater employment in the informal sector rather than by greater non-employment.

Mothers exhibit a different pattern of labor-market adjustment. Mothers entering the child-support system are more likely to be employed at the Census date than their matched controls. Among mothers who were not formally employed before the event, greater employment is observed in both the formal and informal sectors. Among initially formal mothers, we find no corresponding decline in formal employment, although they are somewhat more likely to be informally employed at the Census date. The Census evidence therefore reinforces the asymmetry documented in the event studies: initially formal fathers are less likely to be observed in formal employment and more likely to be observed in informal employment, whereas mothers exhibit greater labor-market attachment.

The concentration of fathers' adjustment in the formal-informal margin raises the question of why formal-sector attachment matters within the child-support system. Ecuador's statutory schedule maps the non-resident parent's assessed income and the number and ages of dependent children into a minimum obligation. When fathers are formally employed, their earnings can be directly verified through payroll records and administrative databases. When formal labor income are not observed, courts must rely on other evidence of economic capacity and may in practice use one statutory monthly minimum wage as a reference. Formal employment also facilitates collection and enforcement because earnings paid by an identifiable employer can be withheld directly.

Importantly, differences in earnings observability need not correspond to equivalent differences in earning capacity. Using nationally representative employment-survey data linked to administrative social-security records, we show that the earnings distributions of formal and informal workers in Ecuador overlap substantially. Informal workers are represented across a broad range of the earnings distribution, including at earnings levels comparable

to those of many formal workers, and the overlap remains substantial after conditioning on education, potential experience, sex, and location. Informal employment is therefore not synonymous with low earning capacity, making earnings observability a distinct dimension along which formal and informal employment differ.

We then examine how formal-sector attachment relates to outcomes within the child-support system. Because fathers who remain formal may differ from those who exit in underlying earning capacity or employment stability, we focus on fathers who were formally employed as wage earners before filing and condition on their observed pre-filing formal labor income. Within this group, fathers who remain formally employed at the hearing owe amounts that are approximately 20 percent larger than those owed by fathers who are no longer formally employed when the hearing occurs. Formal employment at the hearing is also strongly associated with subsequent compliance: formally employed fathers pay a larger share of their scheduled obligations and experience fewer enforcement actions. These relationships are descriptive rather than causal, but they establish that formal-sector status when the court determines the obligation is strongly related to both the amount owed and the resources subsequently transferred through the child-support system.

These relationships do not by themselves establish strategic behavior. Formal employment provides important benefits—including social-security coverage, pension contributions, legal protections, and access to credit—and moving into informal work can therefore be costly. We also do not observe fathers’ earnings once they move into informal employment or their intentions when changing employment status. We consequently cannot establish that observed transitions represent deliberate attempts to conceal earnings or reduce child-support obligations. The evidence instead establishes three facts: fathers subject to child support become less likely to remain formally employed; much of the subsequent formal-employment gap is accounted for by greater informal employment; and formal-sector status is consequential for the information and enforcement mechanisms available within the child-support system.

Our findings contribute to three strands of the literature. First, we contribute to the literature on the economic consequences of divorce and family separation. A growing body of work documents large and persistent changes in employment, earnings, household income, living standards, and mental health following separation (Bonnet et al., 2021; Johnston et al., 2025; Dasgupta et al., 2025). We extend this literature by studying mothers’ and fathers’ labor-market adjustment in a setting with widespread informality and by examining the role of child support in those adjustments. We first document that fathers reduce formal employment while mothers increase it following family separation. We then use complementary comparisons to show that household dissolution alone cannot account for fathers’ decline:

the decline persists when household dissolution is held fixed and also emerges when child support begins without contemporaneous household dissolution.

Second, we contribute to the literature on child support and parental behavior. Existing empirical work has primarily studied how the level of child-support obligations and the intensity of enforcement affect parents' labor supply in high-income settings. On the recipient side, child-support income can affect mothers' labor supply and welfare participation by changing the resources available after separation (Hu, 1999). On the payer side, child-support obligations, arrears, and debt can reduce labor supply and weaken attachment to formal employment, particularly among disadvantaged fathers (Miller and Mincy, 2012; Cancian et al., 2013). More recent administrative evidence likewise shows that child-support policies can generate behavioral responses by both parents (Rossin-Slater and Wüst, 2018; Foerster, 2024). A related theoretical literature emphasizes that child support is not simply an *ex post* transfer, but part of a broader allocation problem between parents in which child-support orders, compliance, custody, fertility, and investments in children are jointly determined (Weiss and Willis, 1985; Del Boca and Flinn, 1995; Flinn, 2000; Brown et al., 2025; Foerster, 2024). We bring these literatures together by studying mothers and fathers around family separation and tracing how their labor-market responses interact with entry into the child-support system.

Finally, we contribute to the literature on informality and earnings-contingent policies. A large literature shows that taxes and transfers can induce individuals and firms to adjust not only real economic activity but also the extent to which that activity is visible to the state (Ulyssea, 2020). In labor markets with substantial informality, policies tied to formal labor income can induce workers to move out of formal employment in order to reduce tax liabilities or preserve eligibility for public transfers (Garganta and Gasparini, 2015; De Brauw et al., 2015; Bergolo and Cruces, 2021; Ulyssea, 2020). The same logic may apply to child support. Cancian et al. (2013) argue that child-support debt may discourage formal employment because earnings in the informal sector are less directly exposed to enforcement, while Roff and Lugo-Gil (2012) explicitly models underground work as a response to child-support obligations. Direct empirical evidence on this margin remains scarce. We extend this literature from taxes and public transfers to judicially determined private obligations and show that fathers' lower formal employment following entry into child support is largely accounted for by greater informal employment.

The remainder of the paper proceeds as follows. Section II describes Ecuador's child-support system and the institutional role of formal employment and earnings observability. Section III describes the construction of the dataset and analysis samples. Section IV presents the labor-market adjustments following family separation and the complementary

comparisons used to examine the role of child support. Section V examines whether changes in formal employment reflect differences in informal employment, unemployment, or inactivity. Section VI studies the relationship between formal-sector attachment, child-support determination, and formal-sector exit during the judicial process. Section VII concludes.

II Institutional Background

A Determination of Child-Support Obligations

In Ecuador, non-resident parents are legally required to make monthly child-support payments to the resident parent. Payments generally continue until the child turns 18, or until age 21 if the child remains satisfactorily enrolled in tertiary education. Child support is intended to cover children’s basic needs, including food, education, healthcare, housing, and recreation. It is primarily regulated by the Code of Children and Adolescents (*Código de la Niñez y Adolescencia*) and by the child-support tables published by the Ministry of Economic and Social Inclusion (MIES, by its Spanish acronym).

A child-support obligation may arise independently of the parents’ marital status, provided that the legal relationship between the child and the defendant has been legally established.² Alternatively, when parents divorce and have minor children, child support is determined as part of the divorce proceedings together with visitation arrangements and, when applicable, the division of jointly owned property.

The legal framework explicitly recognizes unpaid domestic and caregiving work performed by the resident parent as an economic contribution. Consequently, child-support obligations are determined solely on the basis of the non-resident parent’s income. Ecuadorian family law does not regulate shared physical custody (Musso Remache, 2025). In practice, physical custody of minor children is typically awarded to one parent—usually the mother—while the other parent receives visitation rights. This institutional arrangement closely matches the population observed in our data, where resident parents are mothers and non-resident parents are fathers in 97% of cases. Accordingly, our analysis focuses on child-support obligations owed by non-resident fathers to resident mothers.

The MIES tables establish the statutory minimum child-support obligation as a function of the non-resident parent’s income and the number and ages of dependent children. Although judges may set higher amounts depending on the circumstances of the case, the statutory schedule provides the benchmark used to determine the minimum obligation. The schedule is not proportional. Instead, parents are assigned to discrete income brackets, defined in multiples of the statutory minimum wage, with higher brackets facing higher child-support rates. The applicable rate is then applied to the parent’s entire income rather than only to the portion exceeding the relevant threshold. Consequently, minimum child-support obligations increase more than proportionally as assessed income crosses statutory thresholds.³

²Child-support claims may also be filed jointly with requests to establish paternity through DNA testing.

³According to the 2024 MIES child-support tables, for one child aged three or older, increasing assessed

Once a petition is filed, the case is assigned to a judge, who immediately establishes a provisional child-support obligation. In most cases, the proceeding is initiated by one parent as plaintiff against the other parent as defendant, and the defendant must be formally notified before the case can proceed to a hearing. When child support is determined as part of a jointly filed divorce proceeding, however, both parties are already participating in the proceeding and this notification step is not required. Before issuing a final ruling, the judge may request information from public institutions—including the Ecuadorian Social Security Institute (IESS), the Internal Revenue Service (SRI), and commercial banks—to assess the defendant’s financial situation. At the hearing, the judge first attempts to facilitate an agreement between the parties. If no agreement is reached, the judge determines the final child-support obligation using the statutory schedule as the principal guideline.

For cases requiring notification, the time between filing and the hearing depends in part on how quickly the defendant can be successfully served. Although the law requires defendants to be notified shortly after a petition is filed, service of process is frequently delayed because defendants cannot be located, notification attempts are unsuccessful, or service is otherwise delayed. As a result, the hearing at which the final child-support obligation is determined may occur months—and in some cases years—after filing. This distinction between filing and hearing is important for our empirical analysis. Filing marks the beginning of the child-support proceeding and the point at which the provisional obligation begins to accrue, while the hearing is the point at which the definitive obligation is determined. We therefore use filing as the reference event when examining labor-market responses around entry into the child-support system and separately use variation in the time between filing and hearing to examine formal-employment exit before the definitive child-support obligation is set.

B Measuring Earnings under Labor Informality

Determining the final child-support obligation requires courts to assess the defendant’s earnings. This task is relatively straightforward when the defendant is formally employed because labor earnings can generally be verified through payroll records or administrative databases. When defendants are not formally employed, however, judges cannot rely on these sources. Instead, they may use income declarations submitted by the defendant, testimony from the plaintiff, statements from witnesses, and other available evidence. When reliable earnings information cannot be established, judges rely on the best available evidence, which in practice may include using one statutory minimum wage as a reference point.

income from one to three statutory minimum wages raises the minimum child-support obligation from 0.295 to 1.109 statutory minimum wages. Although assessed income triples, the minimum obligation increases by a factor of approximately 3.76 because both the applicable child-support rate and the income base increase.

This measurement problem is quantitatively important in our setting. Approximately half of defendants in our administrative data are not formally employed when their child-support case is filed. The absence of formal employment, however, does not imply the absence of labor earnings. Our administrative records identify formal employment but cannot distinguish whether individuals outside formal employment are informally employed, unemployed, or inactive. This distinction is particularly important in Ecuador, where informal employment is widespread. According to INEC, 52.8% of the employed population was informally employed in May 2026. For the child-support system, the relevant question is therefore how informative the absence of formal labor income is about a defendant’s actual labor earnings.

To examine this question, we combine Ecuador’s nationally representative labor-force survey, ENEMDU, with administrative social-security records. ENEMDU provides information on employment status, labor earnings, education, and other individual characteristics, while the administrative records provide monthly information on social-security contributions. We link the two sources using individuals’ national identification numbers. ENEMDU has a rotating-panel structure, so some individuals are interviewed in multiple survey waves. The linked data therefore allow us both to compare earnings across formal and informal workers and, for individuals observed repeatedly, to examine changes in earnings as they move between formal and informal employment.

Throughout this analysis, we define formal employment using administrative social-security contributions. In general, a job is considered formal if it entails coverage by labor regulations and social security (Ulyssea, 2020). ENEMDU does not directly ask respondents whether their employment is formal or informal. Instead, employed respondents report information on social-security coverage, which is commonly used to classify workers as formal or informal but contains substantial nonresponse in our survey data. We therefore use the linked administrative records to measure formal employment. With the exception of members of the armed forces, an individual who reports being employed in ENEMDU and appears in the social-security records in the month of the survey interview is classified as formally employed, while an employed individual who does not appear in those records is classified as informally employed. This definition uses the same administrative records with which we measure formal employment in our main analysis, but ENEMDU allows us to observe workers who are absent from those records.

We focus on men aged 21–55, corresponding closely to the population of fathers studied in our main empirical analysis. We begin by asking whether informal workers are concentrated at low earnings levels or whether their earnings overlap with those of formal workers. Figure 1 compares the earnings distributions of formal and informal workers. Panel A reports monthly labor earnings relative to the statutory minimum wage prevailing at the time of the survey,

allowing us to compare earnings across survey years. Informal workers earn less on average, but their earnings are highly dispersed and overlap substantially with those of formal workers. Median labor earnings among informal workers are approximately 0.85 statutory minimum wages, the 75th percentile is 1.22 statutory minimum wages, and the 90th percentile is nearly two statutory minimum wages. A substantial portion of informal workers therefore earn above the one-minimum-wage benchmark that courts may use when actual earnings cannot otherwise be established.

Some of this overlap could reflect differences in the characteristics of workers who select into formal and informal employment. Panel B therefore compares residual labor earnings from a Mincer-style specification that conditions on age, education, geographic location, and calendar year. Substantial overlap remains: informal workers are represented throughout a broad range of the residual earnings distribution, including at values comparable to those of formal workers. The overlap in raw earnings is therefore not explained solely by differences in observable characteristics between formal and informal workers. This pattern is consistent with evidence from other developing-country labor markets, where informal labor income distributions have also been shown to overlap substantially with formal labor income rather than being confined to the bottom of the distribution (for Brazil, Meghir et al., 2015).

Comparisons across workers, even conditional on observable characteristics, may still reflect selection into formal and informal employment. We therefore turn to within-worker transitions. ENEMDU’s rotating-panel structure allows us to identify men observed in consecutive survey interviews who are formally employed in the first interview and informally employed in the next. We restrict the two interviews to be between one and fifteen months apart and calculate the change in real monthly labor earnings between them. Figure 2 plots the distribution of these within-worker earnings changes. Real earnings decline for most workers who transition from formal to informal employment, but the decline is far from universal. The distribution contains substantial mass around zero and above it: some workers experience little change in earnings, while others earn more after moving into informal employment. Because this comparison follows the same individuals across survey waves, these patterns cannot be explained by time-invariant differences between workers in formal and informal employment. The exercise does not imply that moving into informal employment causes earnings to remain unchanged or increase, since the transition itself may be selected and may coincide with other changes affecting earnings. It does show, however, that leaving formal employment does not mechanically entail a corresponding decline in labor earnings.

These exercises characterize the broader Ecuadorian labor market rather than the earnings of fathers in our child-support sample after they leave formal employment. We therefore cannot infer how much fathers in our analysis earn if exiting the formal sector. The evidence

instead establishes a key feature of the institutional environment: leaving formal employment can substantially reduce the administrative observability of earnings without necessarily implying that a worker has stopped working or experienced a comparable decline in labor income.

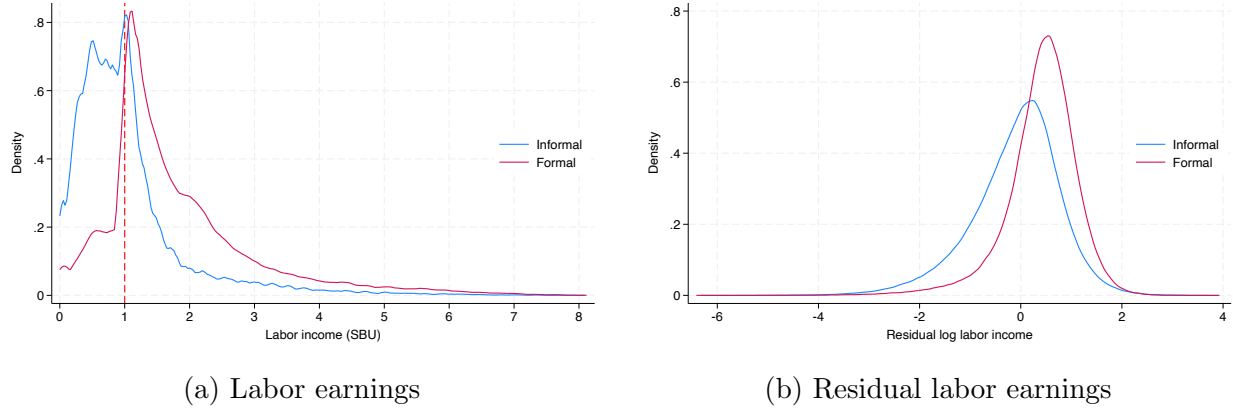


Figure 1: Labor Earnings among Formal and Informal Workers

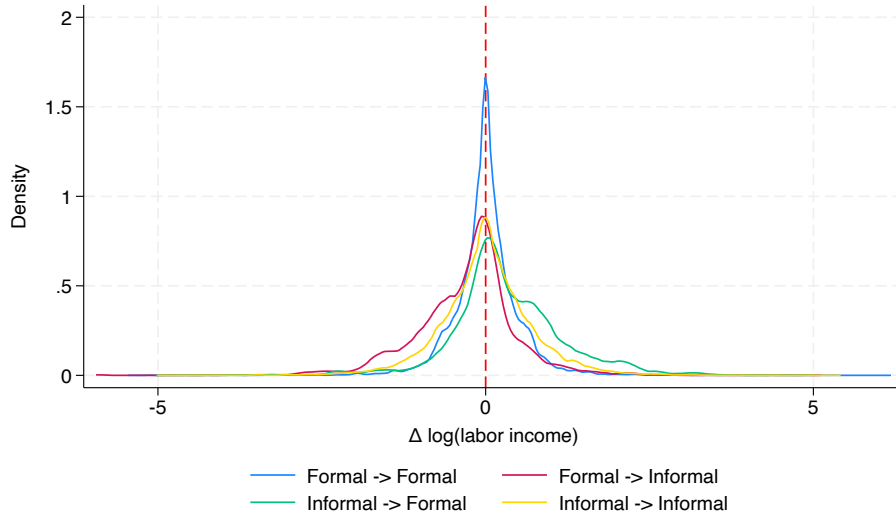


Figure 2: Labor earnings, same worker transitions

C Collection and Enforcement

Once established, a child-support obligation is not automatically adjusted to reflect subsequent changes in the defendant's earnings. Instead, obligations are updated annually only to account for changes in the statutory minimum wage and official inflation. Any additional modification requires one of the parties to initiate a separate judicial proceeding requesting

either an increase (*incidente de aumento de pensión alimenticia*) or a reduction (*incidente de rebaja de pensión alimenticia*). Increases may be granted because of higher child-related expenses or documented improvements in the defendant’s financial circumstances, whereas reductions require evidence of unemployment, a substantial decline in earnings, or the recognition of additional legal dependents. Absent such a petition, the original child-support obligation remains in force regardless of subsequent changes in the defendant’s actual earnings.

Court-ordered child-support obligations are administered through SUPA, a centralized payment platform operated by the Judicial Council. Each obligation is assigned a case-specific account through which all payments, arrears, and enforcement actions are recorded. Defendants may make payments voluntarily through authorized financial institutions. Alternatively, whenever income originates from an identifiable third party, such as an employer or pension administrator, judges may order automatic withholding of the child-support obligation. In practice, this collection mechanism is primarily available for formal employment relationships because informal labor income generally cannot be intercepted through employer withholding.

Failure to pay two or more monthly child-support obligations, whether consecutive or not, initiates a separate enforcement proceeding at the request of the plaintiff. The judge first verifies the existence of arrears, prohibits the defendant from leaving the country, and convenes an enforcement hearing. The purpose of this proceeding is not to reconsider the child-support obligation itself, but rather to determine whether non-payment reflects an inability or an unwillingness to comply with the existing order. Defendants who fail to appear or cannot credibly demonstrate an inability to pay may face increasingly stringent enforcement measures, including civil detention and asset-based sanctions. By contrast, defendants who successfully establish an inability to pay may instead receive a court-approved repayment plan.

Taken together, these institutional features imply that the information available to courts differs systematically across workers. Formal employment provides directly verifiable information on labor earnings, facilitates automatic wage withholding, and simplifies the enforcement of court-ordered obligations. Outside formal employment, courts must rely more heavily on indirect evidence to assess defendants’ financial capacity, while collection and enforcement mechanisms are correspondingly more limited.

III Data and Summary Statistics

Our analysis is based on a new linked dataset that we constructed by combining records from the national maintenance-payment system (SUPA) with digitized family-court records from the Judicial Case Inquiry System (SATJE). We then linked this dataset to nationwide administrative labor-market records, Civil Registry records, the 2015–2023 National Birth Registry, the 2022 Population Census, and the 2014–2024 waves of the National Employment Survey (ENEMDU). All datasets were linked using individuals’ national identification numbers.⁴ The resulting linked dataset combines information on parents’ judicial histories, labor-market trajectories, fertility histories, household composition, and demographic characteristics. Appendix A describes the construction of the linked dataset in detail.

SUPA is the centralized payment platform administered by the Judicial Council through which court-ordered maintenance payments are collected and transferred to recipients. Although the system administers different types of maintenance obligations, child-support cases account for the overwhelming majority of records. Because SUPA does not provide a downloadable database of case records, we systematically queried the platform to recover all publicly available case records in the country. We then used these records to construct a nationwide registry containing 1,594,687 unique individuals who appeared in the system as either payers or recipients. While the information available through SUPA is limited with respect to the underlying judicial proceedings, the resulting nationwide registry is central to our empirical design. It allows us to identify every individual who had ever appeared in the maintenance-payment system anywhere in the country. Consequently, the control groups used throughout the paper consist exclusively of individuals with no recorded appearance in the national maintenance-payment system through 2025. Moreover, because the registry has nationwide coverage, we can identify prior support cases regardless of where they were filed, making our definition of previous support exposure robust to litigation outside the province for which we reconstruct complete judicial histories.

We complement these nationwide records with digitized family-court records from SATJE for the province of Pichincha. SUPA provides both the national identification numbers of the parents involved in each child-support case and the corresponding judicial case identifier. We use the case identifier to recover the complete judicial file from SATJE and the parents’ identification numbers to reconstruct the complete family-law litigation history of each parent pair. Rather than observing only the child-support proceeding, we therefore recover all family-law cases involving the same pair in the province. We processed the resulting court

⁴Before merging, we verified that ages implied by each source were consistent with those recorded in the Civil Registry.

documents using large language models to recover structured information on hearings, judicial decisions, child-support awards, enforcement actions, and other case characteristics. The reconstructed judicial histories also allow us to classify families according to the legal pathway through which they entered the child-support system.

In addition, we used SATJE to identify every family-court judge who resolved cases in the province during our sample period and to recover the complete set of family-law proceedings handled by those judges. This allowed us to identify pairs of individuals involved in divorce or household-dissolution proceedings who never subsequently appeared in the national SUPA registry. These pairs constitute one of the control groups used in our empirical exercises, which compares individuals whose household dissolution was followed by entry into the child-support system with those whose household dissolution was not.

The administrative labor-market records provide monthly information on formal employment, earnings, and employment category through individuals' social-security contributions, allowing us to track individuals' formal labor-market trajectories before and after entry into the child-support system. Civil Registry records provide dates of birth and death, which we use to recover individuals' ages and to exclude deceased individuals and their corresponding parent pairs from the analysis. The National Birth Registry records the dates of birth of all children born between 2015 and 2023 together with the national identification numbers of their mothers, allowing us to supplement fertility information for recent births. The 2022 Population Census provides information unavailable in the administrative records. Although it captures individuals at a single point in time—typically after child-support litigation for the vast majority of pairs—it contains time-invariant characteristics, such as mothers' age at first birth, that we use to construct matched control groups in our empirical exercises. It also provides complete information on labor-force status. The Census has two limitations for our analysis. First, although it identifies individuals' labor-force status, it does not collect information on labor earnings. Second, while the Census covers the entire population, valid national identification numbers are available for only 70% of records, preventing us from linking our entire sample to it.

Our unit of observation is the mother–father pair. For each pair identified through SUPA with at least one family-law proceeding filed in the study province, we reconstruct the pair's complete family-law judicial history. We retain pairs whose first observed family-law proceeding occurred between 2010 and 2023 and define this proceeding as the pair's entry into our analysis. Because child-support proceedings can involve relatives other than the children's parents, a pair of individuals linked through SUPA does not necessarily correspond to a parental couple. To increase the likelihood that the identified pair consists of the mother and father of the children covered by the child-support case, we restrict the sample

to opposite-sex pairs in which both individuals were between 21 and 55 years old at the time of their first family-law proceeding and their age difference was no more than 15 years. We waive the age-gap restriction when the two individuals share the same marriage date, which provides independent evidence that they are a couple. These restrictions yield 98,334 child-support-related pairs.

We next use the reconstructed judicial histories and Civil Registry records to classify these pairs according to the family context in which they entered the child-support system:

Households (HH). We classify a pair as a *household* when there is evidence that the parents previously shared a household, either because their judicial history contains a divorce, union-dissolution, or related proceeding or because Civil Registry records indicate a shared marriage date. We identify 41,087 such pairs. This group constitutes our primary population of interest and corresponds to the family setting studied in much of the literature on the economic consequences of separation: two adults who previously shared a household and made economic decisions within the same family unit, but who subsequently separate while remaining economically linked through their children.

We impose two additional restrictions to construct the HH analysis sample. First, to focus on parents entering the child-support system for the first time, we require that neither member of the pair have a previous child-support case anywhere in the national SUPA registry, leaving 39,116 pairs. Second, we require both members of the pair to be linked to the 2022 Population Census. Census information is used both to construct the matched control groups in our empirical exercises and to distinguish formal from informal labor-market adjustment. Requiring Census linkage for both parents yields our final HH analysis sample of 12,720 mother–father pairs.

Non-households (non-HH). We classify a pair as a *non-household* if their observed judicial history begins with a pregnancy-support, paternity, or DNA proceeding and there is no evidence that the parents previously shared a household. We identify 2,896 such pairs. Unlike the HH sample, these cases do not correspond to the dissolution of a previously shared family unit. The nature of the parents’ prior relationship is therefore inherently more heterogeneous: the group may include parents who had a continuing relationship but never co-resided, as well as those whose relationship was brief or who had other partners or families. Rather than attempting to characterize these different relationship histories, we construct a subsample centered on a common and economically meaningful transition: the birth of a woman’s first child. We therefore restrict the non-HH sample to women for whom the child associated with the proceeding is their first birth and retain the men associated with these women. We do not impose an analogous first-case restriction on men. These restrictions yield 1,451 non-HH pairs, which form the treated sample for our third empirical

exercise. Given the substantially smaller size of the non-HH sample, we do not impose an additional Census-linkage restriction.

For 54,351 of the 98,334 pairs, the only shared proceeding in their reconstructed judicial history is the child-support case itself and Civil Registry records provide no evidence of a shared marriage. The resulting classification distinguishes 41,087 HH pairs, 2,896 non-HH pairs. We exclude the unclassified group from the empirical analysis rather than infer prior household structure from the absence of additional judicial or marriage records. Tables 6 and 7 in Appendix A report the complete sample cascade, including intermediate Census-linkage rates, and compares observable characteristics across successive sample restrictions.

Table 1 reports demographic and pre-filing labor-market characteristics for the HH and non-HH analysis samples. As expected given the different family transitions used to construct the two groups, HH parents are older than non-HH parents. Fathers are, on average, 36.1 years old in the HH sample and 30.0 years old in the non-HH sample, while mothers are 33.9 and 28.3 years old, respectively. HH parents also exhibit somewhat stronger attachment to formal employment prior to filing. In the month before the first judicial proceeding, 59.0 percent of HH fathers and 50.2 percent of HH mothers are formally employed, compared with 52.7 and 46.7 percent, respectively, in the non-HH sample.

Among parents who are formally employed, wage employment is by far the most common employment category in both samples, accounting for more than 90 percent of formally employed fathers and mothers. Formal wage earners in the HH sample also have higher earnings prior to filing. Fathers earn an average of 2.43 monthly minimum wages in the HH sample, compared with 1.97 in the non-HH sample, while the corresponding averages for mothers are 2.16 and 1.74. Despite these differences in employment and earnings immediately before filing, the share of fathers who have never appeared in the formal social-security records prior to the first judicial proceeding is nearly identical across the two samples, at approximately 20 percent. Among mothers, this share is 27.3 percent in the HH sample and 22.4 percent in the non-HH sample.

Table 2 describes how the two samples enter and progress through the judicial system. The differences in the first observed proceeding reflect the sample definitions. Among HH pairs, 64.0 percent first appear in a child-support proceeding and 29.5 percent first appear in a divorce, union-dissolution, or marital-property proceeding. By construction, all non-HH pairs first appear in a pregnancy-support, paternity, or DNA proceeding. Despite these different pathways into the child-support system, subsequent judicial proceedings look relatively similar across the two samples. A hearing is observed for 81.8 percent of HH cases and 78.6 percent of non-HH cases, occurring on average 7.7 and 6.6 months after filing, respectively. Conditional on reaching a hearing, agreements between the parties are common

in both groups, accounting for more than 90 percent of hearings.

Child-support orders, however, differ substantially across the two family structures. HH cases involve an average of 1.58 rightsholders, compared with 1.01 in non-HH cases, consistent with the latter sample being constructed around a woman's first birth. The average definitive child-support order is correspondingly larger among HH pairs, at 0.65 monthly minimum wages compared with 0.40 among non-HH pairs. Even after expressing the order per rightsholder, the average remains higher in the HH sample, at 0.55 monthly minimum wages compared with 0.40 in the non-HH sample. Payment compliance is somewhat higher among HH pairs: 65.8 percent of scheduled obligations are paid on average, compared with 61.3 percent among non-HH pairs, while 17.6 percent of HH cases and 20.9 percent of non-HH cases have no recorded payment through December 2024.

Table 1: Demographic and labor-market characteristics by pair type

	HH	Non-HH	No CS
<i>Age (mean)</i>			
Fathers	36.05 (7.59)	30.03 (6.45)	42.55 (7.91)
Mothers	33.87 (7.25)	28.32 (5.37)	42.59 (8.09)
<i>Formal employment (%)</i>			
Fathers	58.98	52.72	49.95
Mothers	50.23	46.66	41.31
<i>Employment category among formally employed (%)</i>			
Fathers			
Wage-earner	92.98	96.60	84.89
Self-employed	3.74	1.57	6.63
Business owner	2.51	0.92	3.37
Mothers			
Wage-earner	91.34	94.39	84.10
Self-employed	3.82	1.92	6.70
Business owner	1.98	0.44	4.20
<i>Monthly earnings among wage-earners (in min wage units)</i>			
Fathers	2.43 (1.74)	1.97 (1.34)	2.27 (1.78)
Mothers	2.16 (1.56)	1.74 (1.14)	2.18 (1.71)
<i>Never formal (%)</i>			
Fathers	19.66	19.85	25.90
Mothers	27.31	22.40	31.76
<i>Number of pairs</i>			
N	12,720	1,451	1,842

Notes: Statistics are measured in the month prior to the filing of the first judicial event. The HH column corresponds to household pairs in which both members are census-linked. Employment-category shares are calculated among individuals observed in formal employment in the month prior to filing. Monthly earnings are reported only for wage-earners because the administrative records report their labor earnings, whereas for self-employed workers and business owners they report only the contribution base used for social-security purposes. “Never formal” indicates that the individual is never observed in the formal social-security records before the filing of the first judicial event. Standard deviations are reported in parentheses for continuous variables. Employment-category shares include individuals whose employment category is missing in the denominator and therefore need not sum to 100 percent.

Table 2: Judicial process and child-support outcomes

	HH	Non-HH
Panel A. Entry into the judicial system		
Child-support proceeding (%)	63.97	0.00
Divorce, union dissolution, or marital property (%)	29.48	0.00
Pregnancy support, paternity, or DNA (%)	1.44	100.00
Mediation (%)	1.26	0.00
Other (%)	3.86	0.00
Panel B. Judicial process		
Hearing observed (%)	81.76	78.57
Months from filing to hearing	7.72	6.63
	(14.06)	(7.56)
Agreement at hearing (%)	92.93	91.05
Panel C. Child-support order		
Number of rightsholders	1.58	1.01
	(0.82)	(0.10)
Final order (minimum wages)	0.65	0.40
	(0.45)	(0.29)
Final order per rightsholder (minimum wages)	0.55	0.40
	(0.60)	(0.31)
Panel D. Compliance		
Payment share (%)	65.75	61.34
	(41.82)	(43.86)
No payment ever recorded (%)	17.57	20.85

Notes: The table reports judicial characteristics and child-support outcomes for household (HH) pairs and non-household (Non-HH) pairs. The HH column corresponds to household pairs in which both members are census-linked ($N = 12,720$). Panel A classifies the first observed judicial proceeding in the pair’s judicial history. Panel B summarizes the judicial process. Panel C reports characteristics of the child-support order, expressed in statutory monthly minimum wage units (SBU). Panel D reports compliance outcomes. Payment share is defined as the fraction of scheduled child-support obligations paid between case initiation and December 2024. “No payment ever recorded” indicates that no child-support payment was registered over the same period. Standard deviations are reported in parentheses for continuous variables. Sample sizes vary across variables because data availability differs across administrative records and judicial documents.

IV Formal Labor-Market Responses

We begin by examining how mothers' and fathers' formal labor-market outcomes evolve following family separation. Our primary population of interest consists of parents who previously shared a household, separate, and enter the child-support system. For these families, separation entails both the dissolution of the shared household and the onset of child-support obligations. We first estimate the overall labor-market adjustment associated with this transition and then use two complementary comparisons to unpack this bundle and assess the role of child support in the responses we document.

A Formal Labor-market adjustment following family separation

We compare parents in our HH sample with observationally similar mothers and fathers who remain married or cohabiting and never enter the child-support system. The comparison group is constructed separately by gender using age, province of residence, and pre-event formal labor-market trajectories.

Our outcomes capture adjustment along the extensive and intensive margins of formal employment. We define formal employment as having positive earnings reported to the social-security system in a given month. Among formally employed individuals, we examine log monthly labor income. Because the administrative records do not report hours worked, changes in formal labor income may reflect changes in either hours or wages.

For treated parents, we define the event as the filing of the first family-law proceeding. Filing provides an observable reference point for the family transition and marks the point at which child-support obligations begin to accrue. Matched controls inherit the event month of their treated counterparts. We match mothers and fathers separately to untreated individuals of the same gender, year of birth, and province of residence with similar formal labor-market trajectories during the pre-event period; for mothers, we additionally require matches to have the same age at first birth. Our baseline procedure matches mothers and fathers separately rather than requiring both members of a control couple to jointly match the corresponding treated couple. Appendix A describes the matching procedure and reports balance and robustness to alternative matching strategies, including matching treated and control pairs jointly at the household level.

We estimate the following dynamic difference-in-differences event-study specification:

$$(1) \quad Y_{it} = \alpha_i + \sum_{\substack{k=-12 \\ k \neq -1}}^{12} \delta_k \mathbf{1}\{k_{it} = k\} + \sum_{\substack{k=-12 \\ k \neq -1}}^{12} \beta_k (T_i \times \mathbf{1}\{k_{it} = k\}) + \mu_m + \lambda_y + \theta_{ait} + \varepsilon_{it},$$

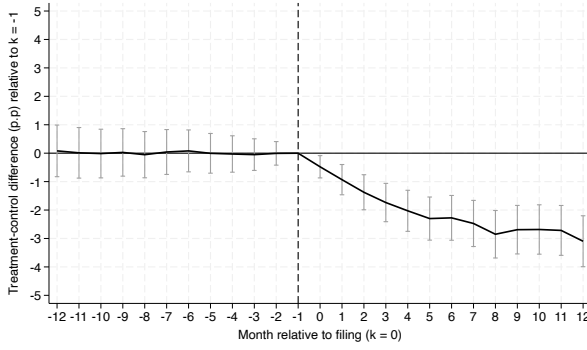
where Y_{it} denotes either formal employment or log formal labor income for individual i in month t ; T_i is an indicator equal to one for treated individuals; and k_{it} denotes event time in months. The omitted period is $k = -1$. The specification includes individual fixed effects (α_i), calendar-month fixed effects (μ_m), calendar-year fixed effects (λ_y), and age fixed effects (θ_{ait}). Standard errors are clustered at the individual level. The coefficients of interest, $\{\beta_k\}$, trace the evolution of the difference in outcomes between treated and control individuals relative to the month immediately preceding the event.

Matching on pre-event labor-market trajectories is important because labor-market adjustment may begin before the first family-law proceeding is filed. Our identifying assumption is that, conditional on the matching procedure, treated and control individuals would have experienced similar changes in formal labor-market outcomes in the absence of the family transition. This assumption does not require treated parents to exhibit flat outcomes prior to filing. As documented in the literature, labor-market outcomes may begin to change as the shared household deteriorates or separation approaches, before the legal proceeding formally begins (Dasgupta et al., 2025). The purpose of the matching procedure is therefore to construct a control group exhibiting similar labor-market dynamics over this period. As Figure 3 shows, treated and control individuals display nearly identical relative pre-event trajectories.

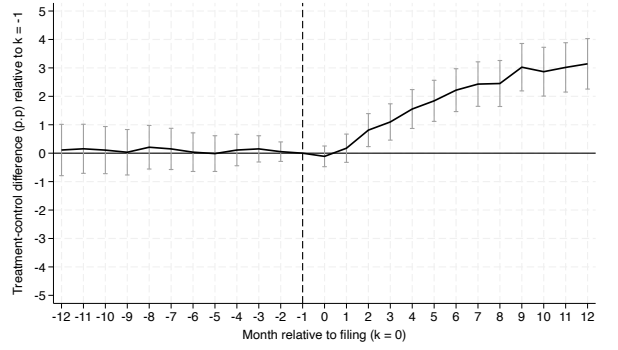
Figure 3 shows a sharp divergence in mothers' and fathers' formal employment following family separation. Fathers become progressively less likely to be formally employed relative to matched fathers who remain in stable households. The difference begins immediately after filing and reaches 3.1 percentage points twelve months later. Relative to a pre-event formal-employment rate of approximately 60 percent among the control group, this represents a decline of about 5 percent. Fathers who remain formally employed also experience a decline in formal labor income, but the magnitude is substantially smaller: earnings are approximately 2 percent lower after twelve months.

Mothers move in the opposite direction. Their formal employment begins to increase shortly after filing and is 3.1 percentage points higher than that of matched mothers after twelve months. Relative to a pre-event formal-employment rate of approximately 51 percent, this represents an increase of about 6 percent. In contrast, there is little evidence of an intensive-margin response among formally employed mothers: the estimated earnings difference remains small throughout the post-event period and is 0.5 percent after twelve months.

Formal employment

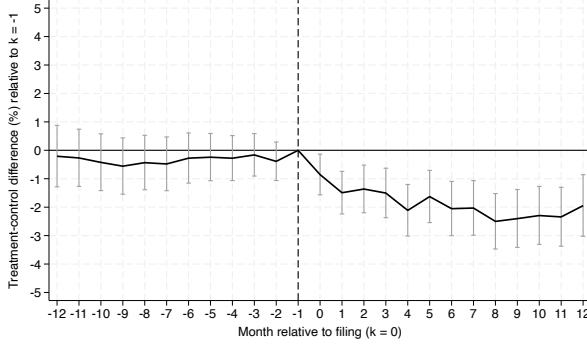


(a) Fathers

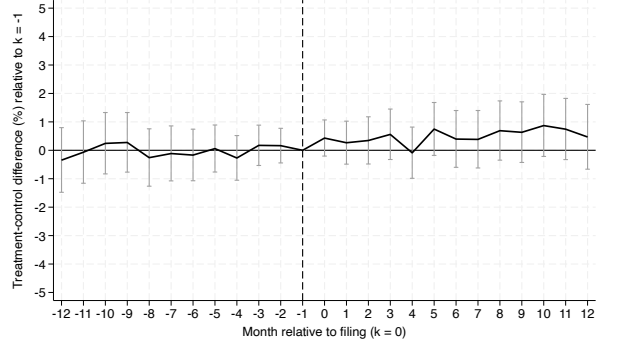


(b) Mothers

Formal labor income



(c) Fathers



(d) Mothers

Figure 3: Event-study estimates relative to matched stable households. The top row reports estimates for formal employment, while the bottom row reports estimates for log formal labor income. Fathers are shown in the left column and mothers in the right column. Coefficients are reported in Table 10.

The primary comparison therefore reveals a pronounced asymmetry in parents' labor-market adjustment following family separation. Fathers reduce their attachment to formal employment, while mothers increase it, with comparatively modest changes in earnings among those who remain formal. Because separation in this population combines household dissolution and the onset of child support, however, this comparison does not establish which component of the family transition accounts for these responses. We therefore turn to two complementary comparisons that help unpack these two components.

B Unpacking household dissolution and child support

1 Holding household dissolution fixed

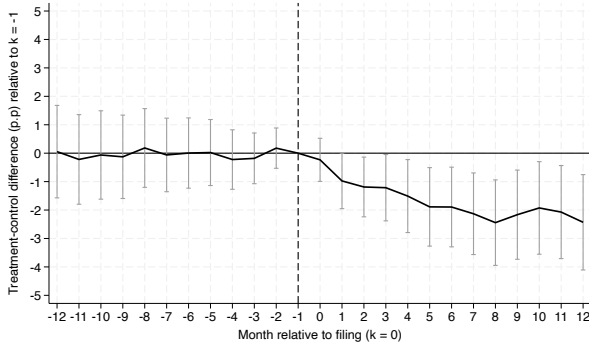
Our first complementary exercise holds household dissolution fixed by comparing parents in our primary HH sample with individuals who also experience the end of a shared household but do not enter the child-support system. The treated group consists of parents with dependent children who separate and enter the child-support system, while the comparison group consists of individuals who separate or divorce without dependent children and never subsequently enter the system. Unlike in the primary comparison with stable households, both groups therefore experience household dissolution. This exercise allows us to ask whether the differential labor-market responses of mothers and fathers documented above persist once we compare them with individuals undergoing the same broad household transition.

Unlike in the primary analysis, we do not match treated and control individuals. Instead, each individual is indexed relative to the filing month of his or her own first household-dissolution proceeding. We estimate Equation 1 using these individual-specific event dates. In contrast to the primary analysis, we do not match treated and comparison individuals on their pre-event labor-market trajectories. Identification therefore relies on their relative labor-market outcomes evolving similarly around household dissolution in the absence of the differences between the two groups. Figure 4 shows that these relative outcomes are stable prior to filing for both mothers and fathers.

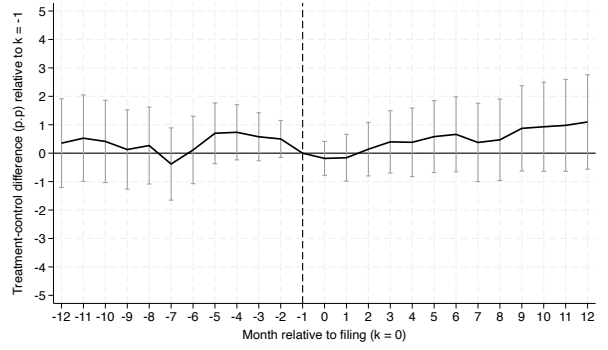
Figure 4 shows that fathers' decline in formal employment persists when household dissolution is common to both groups. The relative difference begins to emerge shortly after filing and grows over the following months. Twelve months after household dissolution, fathers who enter the child-support system are 2.4 percentage points less likely to be formally employed than men who also experience household dissolution but do not enter the system. The magnitude is similar to the decline observed in the primary comparison with stable households.

For mothers, the estimates are considerably less precise. The point estimates for formal employment become positive after filing and reach 1.1 percentage points after twelve months, but confidence intervals include zero throughout the post-event period. We therefore cannot determine whether mothers who enter child support adjust their formal employment differently from women who also experience household dissolution. Estimates for formal labor income are also imprecise for both fathers and mothers. Although fathers' earnings are generally lower during much of the post-event period, the estimate at twelve months is close to zero; mothers' estimates are generally positive but likewise imprecise.

Formal employment

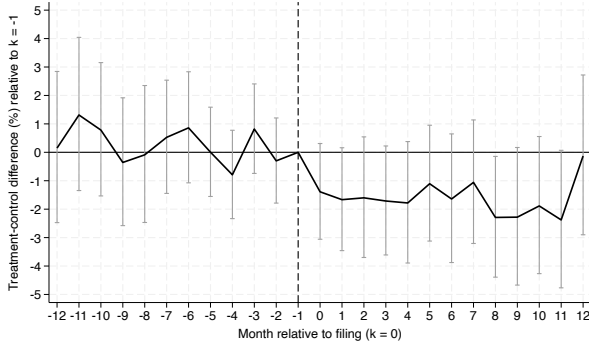


(a) Fathers

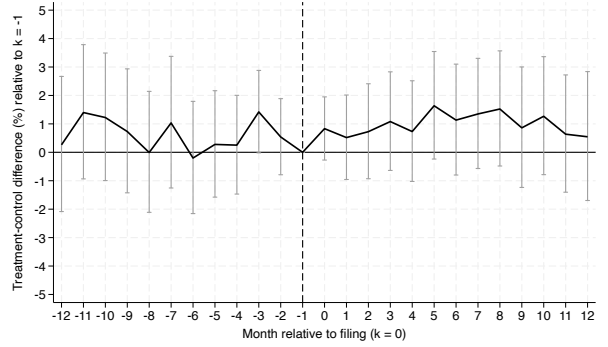


(b) Mothers

Formal labor income



(c) Fathers



(d) Mothers

Figure 4: Event-study estimates relative to individuals who experience household dissolution without dependent children. The top row reports estimates for formal employment, while the bottom row reports estimates for log formal labor income. Fathers are shown in the left column and mothers in the right column. Coefficients are reported in Table 11.

This exercise provides a sharper interpretation of the main HH result for fathers. Their decline in formal employment is not simply a pattern common to individuals experiencing household dissolution: it remains when the comparison group also transitions out of a shared household. The exercise is less informative for mothers because of its substantially lower precision.

At the same time, the comparison does not isolate child support alone. Parents in the treated group have dependent children, whereas individuals in the comparison group do not. The two groups may therefore respond differently to household dissolution for reasons

related to the presence of dependent children rather than child support itself. We address this limitation from a different direction by examining an alternative pathway into child support in which contemporaneous household dissolution is absent.

2 An alternative pathway into child support

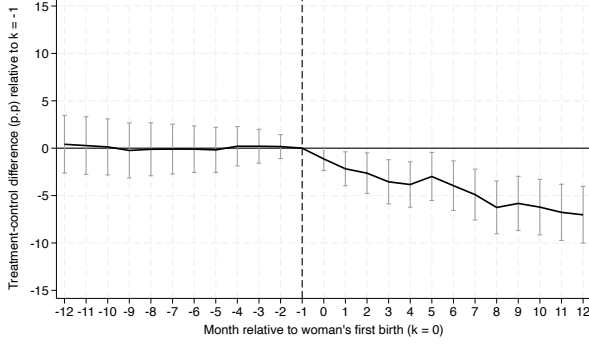
Our second complementary exercise examines labor-market adjustment along an alternative pathway into the child-support system that does not involve contemporaneous household dissolution. We focus on parents whose judicial history begins around the woman’s first birth and for whom we find no evidence that the pair previously shared a household. These non-HH cases are not our primary population of interest. Rather, they provide a distinct setting in which we can examine whether the labor-market responses documented in the HH sample also emerge when entry into child support occurs without the dissolution of a previously shared household.

The treated group consists of parents whose judicial history begins with either a support-for-pregnant-women case or a paternity case around the woman’s first birth. We require the child associated with the proceeding to be the woman’s first child, but not necessarily the father’s first child. The comparison group consists of parents for whom the woman’s first child is born within a stable married or cohabiting household and who are never observed in the child-support system.

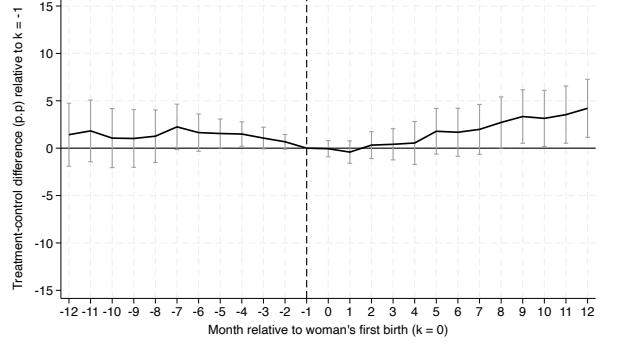
We use the month of the woman’s first birth as the event for both treated and comparison parents. We match mothers and fathers separately to individuals of the same gender, year of birth, and province of residence with similar pre-birth formal labor-market trajectories and whose child’s birth occurs in the same calendar year. For women, we additionally match on age at first birth. We then estimate Equation 1 relative to the birth month.

This exercise approaches the decomposition of the primary HH response from a different direction. In the primary analysis, entry into child support coincides with the dissolution of a previously shared household. Here, entry into child support occurs around the woman’s first birth among parents for whom we find no evidence of prior co-residence. The comparison group also experiences a birth at the same point in the life cycle, but within a stable household and without entering the child-support system. Differences in labor-market adjustment between the two groups therefore cannot be attributed to contemporaneous household dissolution.

Formal employment

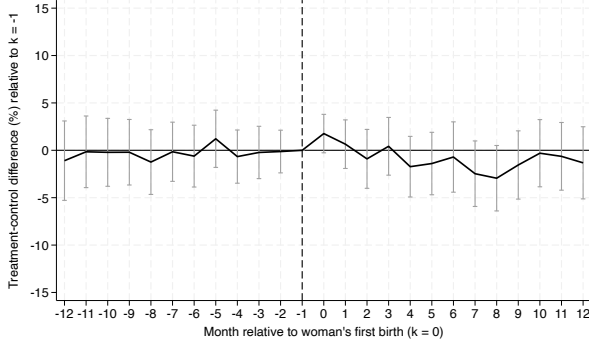


(a) Fathers

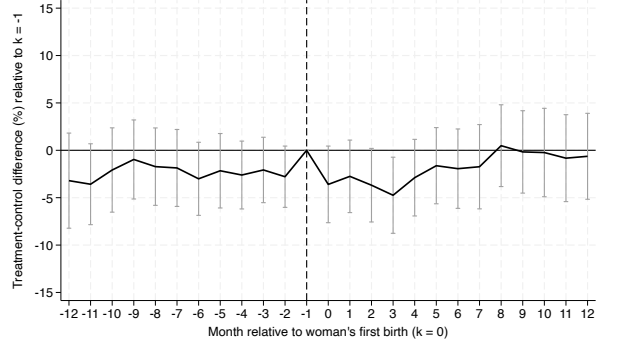


(b) Mothers

Formal labor income



(c) Fathers



(d) Mothers

Figure 5: **Event-study estimates relative to matched stable first-time parents.** The top row reports estimates for formal employment, while the bottom row reports estimates for log formal labor income. Fathers are shown in the left column and mothers in the right column. Coefficients are reported in Table 12.

Figure 5 shows that fathers and mothers again adjust their formal employment in opposite directions. Fathers entering the child-support system become progressively less likely to be formally employed relative to matched fathers whose child is born within a stable household. The difference emerges after the birth and grows over the following year, reaching 7.0 percentage points after twelve months. In contrast, formal labor income among fathers who remain formally employed change relatively little, and the estimated difference is not statistically significant after twelve months.

Mothers' formal employment moves in the opposite direction. Treated mothers become increasingly more likely to be formally employed following the birth, with the difference

reaching 4.2 percentage points after twelve months. The pre-event estimates, however, indicate that treated mothers were already somewhat more likely to be formally employed in several months preceding the birth, so the post-event increase should be interpreted with greater caution. As for fathers, there is little evidence of a corresponding change in formal labor income among mothers who remain formally employed.

The pattern therefore closely resembles the one observed in our primary HH sample: fathers' formal employment declines, while mothers' formal employment increases, with substantially smaller changes along the intensive margin. Importantly, these responses also emerge in a setting in which entry into the child-support system does not coincide with the dissolution of a previously shared household. This provides complementary evidence that the labor-market responses observed following family separation are not solely driven by household dissolution.

The comparison does not isolate the effect of child support, however. Treated and comparison parents differ in the family setting in which the woman's first child is born and may differ along other dimensions associated with family structure and parental responsibilities. We therefore interpret this exercise as complementary evidence rather than as a separate causal estimate of the effect of child support.

C Summary

When parents who previously shared a household separate and enter the child-support system, fathers become less likely to be formally employed while mothers become more likely to be formally employed. These responses occur primarily along the extensive margin of formal employment, with substantially smaller changes in formal labor income conditional on being formal.

For fathers, the complementary exercises point consistently toward a role for child support in the decline in formal-sector attachment. The decline persists when we compare individuals who all experience household dissolution but differ in whether they enter the child-support system, and it also emerges along an alternative pathway into child support without contemporaneous household dissolution. Household dissolution alone therefore cannot account for the decline observed in the primary HH sample. For mothers, the evidence is less conclusive about the role of child support: formal employment increases relative to stable households in the primary HH analysis and in the non-HH comparison, but the household-dissolution comparison is too imprecise to distinguish their response from that of other separating women.

V Formal and Informal Labor-Market Adjustment

The previous section shows that mothers and fathers adjust their formal employment in opposite directions following family separation. Fathers become less likely to be formally employed, while mothers become more likely to be formally employed. The administrative social-security records, however, only reveal whether an individual is employed in the formal sector. They do not allow us to determine whether changes in formal employment correspond to changes in overall employment or to movements between formal and informal work. We therefore turn to the Population Census to examine how the formal-employment responses documented above map into broader labor-market adjustment.

To distinguish among these margins, we combine the administrative labor-market records with the 2022 Population Census. The Census identifies whether an individual is employed, unemployed, or outside the labor force. We use this information together with the administrative social-security records to classify individuals into four mutually exclusive and exhaustive labor-market states: inactive, unemployed, formally employed, and informally employed. Individuals classified as inactive or unemployed in the Census are assigned directly to those states. Among employed individuals, we classify those with a social-security contribution recorded in the administrative data during the fourth quarter of 2022 as formally employed and those without a recorded contribution as informally employed. This definition preserves the administrative measure of formal employment used throughout our main analysis while allowing us to distinguish informal employment from non-employment.

Because the Census provides a single cross-section, we cannot trace these labor-market states dynamically around the event as in Section IV. Instead, we use each individual’s labor-market status at the Census date as a post-event outcome and restrict the sample to individuals whose reference event occurred before the fourth quarter of 2022. The time elapsed between the event and the Census interview varies across individuals, so all specifications control for the number of months since the event.

Our analysis focuses on the primary HH comparison from Section IV, using the same treated parents and matched parents who remain in stable households. Because the Census provides only a single post-event observation, the empirical specification differs from the panel event-study analysis. In the event study, individual fixed effects absorb time-invariant differences between treated and control individuals. In the Census cross-section, we instead condition directly on pre-event labor-market characteristics that may predict subsequent labor-market status. All specifications control for age and the number of months elapsed between the reference event and the Census interview. To account for prior labor-market attachment, we additionally control for the total number of months in formal employment

over the individual’s observed labor-market history prior to the event, as well as mean formal labor income, modal employer type, and modal employment sector during the 12 months preceding the event.⁵ We estimate

$$(2) \quad Y_i = \alpha + \beta T_i + X_i' \gamma + \varepsilon_i,$$

where Y_i is an indicator for being inactive, unemployed, formally employed, or informally employed at the Census date; T_i indicates whether the individual belongs to the treated HH group; and X_i contains the controls described above. We estimate Equation (2) separately for mothers and fathers and for each of the four labor-market states.

Table 3: Labor-Market Adjustment After Entry into the Child-Support System

	Inactive (1)	Unemployed (2)	Formal (3)	Informal (4)
<i>Panel A. Fathers</i>				
Treated	0.011*** (0.002)	0.017*** (0.003)	−0.062*** (0.005)	0.033*** (0.005)
Obs.	23,890	23,890	23,890	23,890
<i>Panel B. Mothers</i>				
Treated	−0.098*** (0.005)	0.004 (0.004)	0.039*** (0.005)	0.056*** (0.006)
Obs.	22,822	22,822	22,822	22,822

Notes: The table reports the coefficient on the treatment indicator from Equation (2) for the matched stable-household comparison, separately for fathers and mothers. Individuals are classified as inactive, unemployed, or employed using the 2022 Population Census. Among employed individuals, columns (3) and (4) classify formal and informal employment using administrative social-security contribution records observed during the fourth quarter of 2022. All specifications control for age, the elapsed time between the reference event and the Census interview, the number of months of formal employment prior to the event, and the mean wage, modal employer type, and modal employment sector over the 12 months preceding the event. Robust standard errors are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 3 reports the results. Fathers who experience family separation and enter the child-

⁵The corresponding analyses for the two complementary comparisons from Section IV are reported in Appendix C.

support system are 6.2 percentage points less likely to be formally employed at the Census date than matched fathers who remain in stable households. This decline is accompanied by a 3.3-percentage-point increase in informal employment, a 1.7-percentage-point increase in unemployment, and a 1.1-percentage-point increase in inactivity. Thus, lower formal employment does not translate one-for-one into lower employment. More than half of the formal-employment gap is mirrored by greater informal employment.

Mothers exhibit a markedly different pattern. Mothers who experience family separation and enter the child-support system are 9.8 percentage points less likely to be inactive than matched mothers in stable households, with essentially no difference in unemployment. Instead, they are 3.9 percentage points more likely to be formally employed and 5.6 percentage points more likely to be informally employed. The increase in mothers' formal employment documented in Section IV is therefore part of a broader increase in labor-market attachment: relative to mothers who remain in stable households, separating mothers are more likely to work in both the formal and informal sectors.

Adjustment by Pre-Event Formal Employment The average differences in Table 3 combine parents with very different labor-market positions before family separation. This distinction is particularly important for interpreting fathers' decline in formal employment. For fathers who were formally employed before the event, observing greater informal employment afterward provides evidence that the decline in formal-sector attachment is accompanied by greater employment outside the formal sector. For parents who were already outside formal employment, by contrast, post-event differences capture adjustment from a different initial labor-market position.

We therefore distinguish individuals according to whether they were formally employed three months before the reference event and estimate

$$(3) \quad Y_i = \alpha + \beta T_i + \gamma Formal_i^{pre} + \delta (T_i \times Formal_i^{pre}) + X_i' \theta + \varepsilon_i,$$

where $Formal_i^{pre}$ indicates that individual i was formally employed three months before the event. The coefficient β captures the treated-control difference among individuals who were not formally employed before the event, while $\beta + \delta$ gives the corresponding difference among individuals who were formally employed. The coefficient δ captures the difference between these two estimates.

Table 4: Labor-Market Adjustment by Pre-Event Formal-Employment Status

	Labor-market status			
	Inactive (1)	Unemployed (2)	Formal (3)	Informal (4)
<i>Panel A. Fathers</i>				
Treated: Pre-event non-formal	0.019*** (0.005)	0.018*** (0.005)	−0.041*** (0.008)	0.004 (0.010)
Treated: Pre-event formal	0.006*** (0.002)	0.016*** (0.003)	−0.072*** (0.007)	0.050*** (0.006)
Difference	−0.013** (0.005)	−0.002 (0.005)	−0.032*** (0.011)	0.046*** (0.011)
Obs.	23,890	23,890	23,890	23,890
<i>Panel B. Mothers</i>				
Treated: Pre-event non-formal	−0.161*** (0.008)	0.004 (0.006)	0.078*** (0.007)	0.079*** (0.009)
Treated: Pre-event formal	−0.040*** (0.005)	0.003 (0.004)	0.007 (0.008)	0.030*** (0.006)
Difference	0.121*** (0.010)	−0.001 (0.007)	−0.071*** (0.011)	−0.049*** (0.011)
Obs.	22,822	22,822	22,822	22,822

Notes: The table reports estimates of Equation (3) for the matched stable-household comparison, separately for fathers and mothers. “Pre-event formal” indicates that the individual was formally employed three months before the reference event. The first row of each panel reports the treated–control difference among individuals who were not formally employed three months before the event (β), while the second row reports the corresponding difference among individuals who were formally employed ($\beta + \delta$). The third row reports the difference between these two estimates (δ).

Labor-market status is measured using the 2022 Population Census for inactivity and unemployment, and administrative social-security contribution records observed during the fourth quarter of 2022 for formal and informal employment. Individuals are classified into four mutually exclusive and exhaustive states: inactive, unemployed, formally employed, or informally employed. All four outcomes are defined over the same estimation sample.

All specifications control for age, the elapsed time between the reference event and the Census interview, the number of months of formal employment prior to the event, and the mean wage, modal employer type, and modal employment sector over the 12 months preceding the event. Robust standard errors are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 4 reveals substantial differences according to parents’ pre-event attachment to the formal sector. Among fathers who were formally employed three months before family separation, treated fathers are 7.2 percentage points less likely to be formally employed at the

Census date and 5.0 percentage points more likely to be informally employed than comparable fathers in stable households. The corresponding increases in unemployment and inactivity are substantially smaller, at 1.6 and 0.6 percentage points, respectively. Higher informal employment therefore accounts for approximately 69 percent of the formal-employment gap among fathers who were initially formal. For this group, the decline in formal-sector attachment is predominantly accompanied by higher informal employment rather than non-employment.

The pattern is different among fathers who were not formally employed before the event. They are 4.1 percentage points less likely to be formally employed at the Census date, but there is essentially no corresponding difference in informal employment. Instead, they are 1.9 percentage points more likely to be inactive and 1.8 percentage points more likely to be unemployed. The higher informal employment observed among fathers is therefore concentrated among those who were attached to the formal sector before family separation.

For mothers, the largest differences occur among those who were not formally employed before the event. Relative to comparable mothers in stable households, these mothers are 16.1 percentage points less likely to be inactive and 7.8 and 7.9 percentage points more likely to be formally and informally employed, respectively. The decline in inactivity is therefore almost entirely accounted for by higher employment across the formal and informal sectors.

Among mothers who were already formally employed before the event, the differences are considerably smaller. They are 4.0 percentage points less likely to be inactive and 3.0 percentage points more likely to be informally employed, while their probability of formal employment is not statistically different from that of matched controls. Thus, the increase in mothers' labor-market attachment is concentrated among those who were outside formal employment before family separation, whereas initially formal mothers exhibit comparatively little change in formal-sector attachment.

As a robustness check, Appendix Tables 13 and 14 use self-reported social-security contributions in the Census, rather than administrative contribution records, to distinguish formal from informal employment. The alternative classification preserves the main pattern for mothers, who are less likely to be inactive and more likely to be employed. For fathers, the average decomposition between formal and informal employment is more sensitive to the measure of formality. Among fathers who were formally employed before the event, however, the pattern remains consistent with our preferred measure: treated fathers are less likely to be formally employed and more likely to be informally employed than comparable fathers in stable households.⁶

⁶We also replicate the Census analysis using the two complementary comparisons from Section B. Results are reported in Appendix Tables 15 and 16 for the household-dissolution comparison and Appendix Tables 17 and 18 for the alternative pathway into child support. The household-dissolution comparison is considerably

Taken together, the Census evidence sharpens the interpretation of the formal-employment responses documented in Section IV. Mothers' increase in formal employment is part of a broader increase in labor-market attachment, driven primarily by women who were not formally employed before family separation entering both formal and informal employment. Fathers exhibit a different adjustment. Their decline in formal employment reflects both greater non-employment and greater informal employment, but among fathers who were formally employed before family separation, most of the formal-employment gap is accounted for by higher informal employment. Leaving the formal sector therefore does not generally imply that these fathers have left employment altogether.

These results show that changes in formal employment are accompanied by broader changes in parents' labor-market status. In particular, fathers who were formally employed before family separation are more likely to be informally employed afterward. To understand why this margin may be relevant, we next examine whether formal-sector attachment matters in practice within the child-support system. Section VI studies how fathers' formal-employment status relates to the determination of the amount owed, payment, and enforcement.

less precise, while the alternative pathway into child support produces a pattern closer to the primary HH comparison, particularly for fathers.

VI Formality and Responses to Child Support

The preceding sections establish two central findings. First, fathers become less likely to participate in formal employment following the initiation of child-support proceedings. Second, among fathers who were formally employed before entering the child-support system, those subject to child-support obligations are subsequently more likely to be informally employed than their matched controls. Together, these findings point to a shift away from formal and toward informal employment following entry into the child-support system. They do not, however, establish why this adjustment occurs. Transitions out of formal employment may reflect involuntary job loss or other changes associated with family dissolution, but they may also represent a response to the incentives created by the child-support system.

In this section, we examine whether the timing and consequences of these transitions are consistent with the latter interpretation. We cannot observe fathers' intentions and therefore cannot directly identify strategic behavior. Instead, we provide two complementary pieces of evidence. We first examine whether remaining formally employed through the hearing is associated with the child-support order imposed by the court and with subsequent payment and enforcement outcomes. We then restrict attention to fathers who were formally employed before filing and ask whether the probability of exiting formal employment before the hearing increases with the time elapsed between filing and the hearing.

Formal employment at the hearing. We first examine whether fathers' formal-employment status at the time of the hearing is associated with the child-support order imposed by the court. As discussed in Section II, formal employment makes current earnings directly observable to the judge through administrative records. For fathers who are not formally employed, the court cannot rely on the same source of verified earnings information and must instead determine the order using the information available in the judicial record. Formal-employment status at the hearing may therefore be consequential for the amount of child support ultimately ordered.

We estimate

$$(4) \quad Y_i = \alpha + \beta \text{FormalAtHearing}_i + X_i' \gamma + \lambda_y + \varepsilon_i,$$

where FormalAtHearing_i is an indicator equal to one if father i is formally employed in the month of the hearing and λ_y denotes hearing-year fixed effects. We consider four outcomes: the final child-support order per rightsholder, measured in monthly minimum wages; the share of scheduled obligations subsequently paid; an indicator for whether the father is sub-

ject to a subsequent enforcement action; and the number of months in which an enforcement action is recorded. The vector X_i varies across specifications. The payment-share specification additionally controls for the total number of observed payment transactions and the child-support order per rightsholder, while the specification for the incidence of enforcement additionally controls for the order per rightsholder.

Columns (1)–(4) of Table 5 report the results for the full analysis sample. Formal employment at the hearing is strongly associated with each of the four outcomes. Fathers who are formally employed at the hearing receive child-support orders that are 0.172 monthly minimum wages per rightsholder higher, relative to a mean order of 0.518. They subsequently pay a 17.7-percentage-point larger share of their scheduled obligations, are 11 percentage points less likely to face an enforcement action, and experience 0.48 fewer months with an enforcement action.

These estimates should not be interpreted causally. Fathers who are formally employed at the hearing may differ systematically from those who are not in permanent earning capacity, employment stability, or other characteristics that also affect the child-support order and subsequent compliance. This concern is particularly relevant for payment and enforcement outcomes, which may reflect broader differences between fathers who remain in and exit formal employment.

To address this concern more directly for the determination of child-support awards, we next restrict the sample to fathers who were formally employed as wage earners three months before filing. This restriction gives fathers a common pre-filing formal-employment status and, importantly, allows us to condition on their observed formal labor income before the judicial process began. Within this sample, we estimate the relationship between formal employment at the hearing and the final order while additionally including fixed effects for deciles of pre-filing formal labor income, the number of rightsholders covered by the order, and an indicator for household-origin cases.

Column (5) reports the results. The relationship between formal employment at the hearing and the child-support order remains large and statistically significant. Among fathers who were formally employed before filing and within the same pre-filing earnings decile, those who remain formally employed at the hearing receive orders that are, on average, 0.115 monthly minimum wages per rightsholder higher than fathers who are no longer formally employed at the hearing. This difference corresponds to approximately 20 percent of the sample mean of 0.561 monthly minimum wages per rightsholder. Thus, the relationship between formal employment at the hearing and the size of the child-support order is not explained solely by differences in formal-sector attachment or broad differences in formal labor income before the case began.

Table 5: Formal Employment at the Hearing and Child-Support Outcomes

	(1)	(2)	(3)	(4)	(5)
	Order per rightsholder	Payment share	Enforcement action	Months with enforcement	Order per rightsholder
Formal at hearing	0.172*** (0.008)	0.177*** (0.006)	-0.110*** (0.007)	-0.481*** (0.031)	0.115*** (0.017)
Pre-filing formal sample	No	No	No	No	Yes
Pre-filing earnings-decile FE	No	No	No	No	Yes
Mean dep. var.	0.518	0.670	0.370	1.038	0.561
Observations	18,163	18,163	18,163	18,163	6,791

Notes: Each column reports the coefficient on an indicator equal to one if the father is formally employed in the month of the hearing. The dependent variable is the final child-support order per rightsholder, measured in monthly minimum wages, in columns (1) and (5); the share of scheduled obligations paid in column (2); an indicator for a subsequent enforcement action (*apremio*) in column (3); and the number of distinct months with an enforcement action recorded in the case file in column (4). Columns (1)–(4) use the full analysis sample. Column (5) restricts the sample to fathers who were formally employed as wage earners three months before filing and additionally includes pre-filing earnings-decile fixed effects, the number of rightsholders covered by the order, and an indicator for household-origin cases. All specifications include hearing-year fixed effects. Column (2) additionally controls for the total number of observed payment transactions and the order per rightsholder; column (3) additionally controls for the order per rightsholder. Robust standard errors are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

An illustrative calculation. To gauge the economic magnitude of these estimates, we conduct a simple back-of-the-envelope calculation using the coefficients in Table 5 and the 2024 statutory child-support schedule. Consider two fathers with the same earning capacity, each with one child who is five years old at the time of the hearing, so that the child-support obligation remains in force for another thirteen years (156 months). One father remains formally employed at the hearing, while the other is no longer formally employed. We discount future payments at an annual rate of 5 percent.

First, consider a case in which both fathers receive the same child-support order, so that the only difference between them is the estimated gap in subsequent payment compliance. At the 2024 minimum wage, the statutory order for a father earning one monthly minimum wage with one child aged three or older is \$135.65 per month. Applying the 17.7-percentage-point difference in payment shares estimated in column (2), the present value of payments received over the remaining life of the obligation is 23.3 percent lower when the father is not formally employed at the hearing (\$9,094 compared with \$11,862). Thus, even holding the

child-support order fixed, the estimated compliance gap implies a substantial difference in the resources ultimately received by the child.

Next, we incorporate the difference in child-support orders documented in column (5). Consider fathers with an earning capacity of 1.5 monthly minimum wages. Under the statutory schedule, the corresponding order for one child aged three or older is \$255.02 per month. The estimated difference of 0.115 monthly minimum wages per rightsholder corresponds to \$52.90 at the 2024 minimum wage, implying an order of \$202.12 for the father who is no longer formally employed at the hearing. Combining this difference in the order with the estimated difference in payment compliance, the present value of payments received is 39.2 percent lower when the father is no longer formally employed (\$13,550 compared with \$22,300).

These calculations illustrate that the differences in orders and subsequent compliance documented in Table 5 can translate into economically large differences in the resources received by children over the life of a child-support obligation. The exercise is intended to illustrate the magnitude of the estimated relationships rather than to interpret them as causal effects of formal-sector exit.

VII Conclusion

This paper studies how child-support obligations shape parental labor-market behavior in a setting where earnings are only imperfectly observable. Using a new linked administrative dataset that combines nationwide child-support records, judicial case files, labor-market records, and survey data, we examine how parents' labor-market outcomes evolve following entry into the child-support system and how these changes interact with the institutional design of child-support determination and enforcement.

We document that fathers experience a persistent decline in formal employment following child-support proceedings, whereas mothers' labor-market responses are largely explained by household dissolution rather than by child-support obligations themselves. We further show that many fathers who leave formal employment remain economically active through informal work and that these transitions need not imply a comparable reduction in earning capacity. At the same time, fathers who are no longer formally employed receive lower assessed obligations and exhibit substantially lower compliance rates. Taken together, these findings indicate that labor informality affects not only labor-market outcomes but also the information available to courts and, consequently, the operation of the child-support system itself.

More broadly, our findings highlight the importance of distinguishing between observable earnings and underlying earning capacity. In settings with widespread labor informality, workers may be able to alter the observability of their earnings without proportionately changing their productive capacity. As a result, the effectiveness of earnings-contingent institutions depends not only on the incentives they create, but also on the extent to which they can accurately observe the economic resources on which those incentives are based.

While we study child-support obligations, this distinction extends beyond family policy. Many taxes, transfers, and other earnings-contingent institutions rely on reported earnings as a proxy for individuals' ability to pay. Our results suggest that evidence from high-formality economies may not readily generalize to settings where earnings observability is itself an important margin of adjustment. Incorporating this distinction may therefore be essential for understanding the incidence and effectiveness of earnings-contingent policies in developing countries.

References

- Bergolo, Marcelo and Guillermo Cruces**, “The anatomy of behavioral responses to social assistance when informal employment is high,” *Journal of Public Economics*, 2021, 193, 104313.
- Boca, Daniela Del and Christopher J Flinn**, “Rationalizing child-support decisions,” *The American Economic Review*, 1995, pp. 1241–1262.
- Bonnet, Carole, Bertrand Garbinti, and Anne Solaz**, “The flip side of marital specialization: The gendered effect of divorce on living standards and labor supply,” *Journal of Population Economics*, 2021, 34 (2), 515–573.
- Brau, Alan De, Daniel O Gilligan, John Hoddinott, and Shalini Roy**, “Bolsa Família and household labor supply,” *Economic Development and Cultural Change*, 2015, 63 (3), 423–457.
- Brown, Meta, Christopher J Flinn, and Joseph Mullins**, “Family law effects on divorce, fertility, and child investment,” *Journal of Labor Economics*, 2025, 43 (S1), S351–S397.
- Cancian, Maria, Carolyn J Heinrich, and Yiyoon Chung**, “Discouraging disadvantaged fathers’ employment: An unintended consequence of policies designed to support families,” *Journal of Policy Analysis and Management*, 2013, 32 (4), 758–784.
- Cuesta, Laura, Mia Hakovirta, and Merita Jokela**, “The Antipoverty Effectiveness of Child Support: Empirical Evidence for Latin American Countries,” *Social Policy & Administration*, 2018, 52 (6), 1233–1251.
- , —, **Mari Haapanen, and Daniel Ray Meyer**, “Child Support Policy in Middle-and Low-Income Countries: Current Approaches and Policy Dilemmas,” *Journal of International and Comparative Social Policy*, 2023, pp. 1–20.
- Dasgupta, Kabir, Andrew C Johnston, Linda Kirkpatrick, Maxim N Massenkoff, and Alexander Plum**, “Social and Health Outcomes around Divorce: Evidence from New Zealand,” Technical Report, National Bureau of Economic Research 2025.
- Flinn, Christopher J**, “Modes of interaction between divorced parents,” *International Economic Review*, 2000, 41 (3), 545–578.
- Foerster, Hanno**, “Untying the knot: How child support and alimony affect couples’ dynamic decisions and welfare,” *Review of Economic Studies*, 2024, p. rdae105.

- Garganta, Santiago and Leonardo Gasparini**, “The impact of a social program on labor informality: The case of AUH in Argentina,” *Journal of Development Economics*, 2015, *115*, 99–110.
- Gunter, Samara R.**, “Dynamics of urban informal labor supply in the United States,” *Social Science Quarterly*, 2017, *98* (1), 16–36.
- Hu, Wei-Yin**, “Child support, welfare dependency, and women’s labor supply,” *Journal of Human Resources*, 1999, pp. 71–103.
- Johnston, Andrew C, Maggie R Jones, and Nolan G Pope**, “Divorce, Family Arrangements, and Children’s Adult Outcomes,” Technical Report, National Bureau of Economic Research 2025.
- Meghir, Costas, Renata Narita, and Jean-Marc Robin**, “Wages and informality in developing countries,” *American Economic Review*, 2015, *105* (4), 1509–1546.
- Miller, Daniel P and Ronald B Mincy**, “Falling further behind? Child support arrears and fathers’ labor force participation,” *Social Service Review*, 2012, *86* (4), 604–635.
- Remache, Mauricio Alexander Muso**, “Vacíos legales en la regulación de la tenencia compartida en el Código de la Niñez y Adolescencia (CONA),” February 2025. Trabajo de titulación para optar al título de Abogado.
- Roff, Jennifer and Julieta Lugo-Gil**, “A model of child support and the underground economy,” *Labour Economics*, 2012, *19* (5), 668–681.
- Rossin-Slater, Maya and Miriam Wüst**, “Parental responses to child support obligations: Evidence from administrative data,” *Journal of Public Economics*, 2018, *164*, 183–196.
- Ulyssea, Gabriel**, “Informality: Causes and consequences for development,” *Annual Review of Economics*, 2020, *12* (1), 525–546.
- Weiss, Yoram and Robert J Willis**, “Children as collective goods and divorce settlements,” *Journal of Labor Economics*, 1985, *3* (3), 268–292.

A Construction of the Dataset

This appendix describes the construction of the dataset used in the analysis. We first constructed a nationwide registry of individuals appearing in Ecuador’s maintenance-payment system (SUPA). For all SUPA records originating from a court or mediation office in the province of Pichincha, we then used the judicial case identifier reported in SUPA to recover the corresponding judicial proceeding from SATJE. For each individual associated with these records, we additionally searched SATJE for all other proceedings in which they appeared, allowing us to reconstruct the broader family-law judicial history of each parent pair in the province. We then processed the resulting judicial records to construct structured information on the timing and characteristics of the proceedings, judicial decisions, child-support awards, enforcement actions, and the family context in which the pair entered the child-support system. Finally, within INEC’s secure data environment, we linked the resulting judicial dataset to the administrative and survey records described in Section III. All Python code used to collect the publicly available records and construct the resulting databases is available from the authors upon request.

A Constructing the Nationwide SUPA Registry

SUPA does not provide a downloadable database or a list of individuals with registered maintenance obligations. Instead, its public platform allows users to search for records using an individual’s national identification number. We therefore constructed a nationwide registry of SUPA records by systematically querying the platform.

To do so, we developed an algorithm that generated the universe of potentially valid Ecuadorian national identification numbers and queried each number individually through SUPA’s public search interface. For each successful query, SUPA reports the individual’s role in the maintenance obligation, the name of the other party, a unique SUPA card number, and the judicial case number associated with the obligation. Because individuals can be queried separately, the same maintenance obligation can generally be observed from both sides. For example, querying individual A may return a SUPA card associated with judicial case X and identify individual B as the other party, while querying individual B returns the same card and case and identifies individual A as the counterpart. We exploit this reciprocal structure to construct matched payer–recipient pairs: two individuals are linked when their independently recovered records correspond to the same underlying SUPA obligation. This procedure allows us to identify both parties using their national identification numbers rather than relying on the names reported by SUPA.

Applying this procedure to the universe of potential identification numbers yields a na-

tionwide registry of 1,599,574 unique individuals appearing in SUPA as either payers or recipients. Of these, 1,406,471 individuals (87.93 percent) can be linked into 790,365 uniquely identified payer–recipient pairs. Most individuals are associated with only one counterpart: 1,251,099 individuals appear in a single pair, while progressively smaller numbers are linked to multiple counterparts. Specifically, 139,145 individuals are linked to two counterparts, 14,146 to three, 1,681 to four, 284 to five, 75 to six, 26 to seven, 9 to eight, 5 to nine, and 1 to ten. These counts reconcile exactly with the number of unique pairs: summing the number of person–pair links across individuals yields 1,580,730 links, exactly twice the 790,365 unique payer–recipient pairs.

For each identified SUPA card, we recovered information from the card details, transaction history, pending transactions, and records of judicial orders and indexations. These records provide the national identification numbers and roles of the individuals associated with the card, the corresponding judicial case number and jurisdiction, the filing date, the history of scheduled and completed payments, and, when available, provisional and definitive child-support amounts. Because SUPA records are continuously updated as new monthly obligations and transactions are added, the information observed for an active case depends on the date on which the platform is queried. Our data collection took place between March 2025 and March 2026. To ensure a common observation window across cases regardless of when they were queried, in our analysis we retain transaction information only through December 2024.

Filtro de búsqueda

Búsqueda por cédula o identificación de la persona

Cédula / identificación: 17

Buscar

Búsqueda por otros criterios

Criterio de búsqueda: Seleccione...

Seleccione:

Buscar

Limpiar

Simulador de pago

Devolución Valores

Resultados

Código de tarjeta	Nro. de proceso judicial	Dependencia Jurisdiccional	Tipo de pensión	Intervinientes	Detalle
1701-	17	UNIDAD JUDICIAL CUARTA DE LA FAMILIA MUJER NIÑEZ Y ADOLESCENCIA CON SEDE EN LA PARROQUIA IÑAQUITO DEL DISTRITO METROPOLITANO DE QUITO PROVINCIA DE PICHINCHA	Pensión alimenticia	Representante Legal: Obligado principal	Ver

Figure 6: Example of a SUPA Search Record

Notes: The figure shows an example of the information returned by the public SUPA platform when searching for an individual using their national identification number. The search result reports the SUPA card number, the associated judicial case number and jurisdiction, and the names of the payer and recipient. National identification numbers and other identifying information are partially redacted.

B Linking SUPA to Judicial Records (SATJE)

Each SUPA card reports the judicial case number associated with the maintenance obligation as well as the court or mediation office from which the case originated. We use this jurisdictional information to identify all SUPA records associated with courts and mediation offices in the province of Pichincha. For each such record, we retain the national identification numbers of the two associated individuals and use the judicial case number reported in SUPA to retrieve the corresponding proceeding from the Judicial Case Inquiry System (SATJE), the Judicial Council’s public platform containing digitized court records.

We do not restrict the judicial data collection to the proceeding reported in SUPA. For each individual associated with a Pichincha SUPA card, we use their national identification number to search SATJE for all judicial proceedings in which they appear, separately querying the individual as plaintiff and as defendant. For each proceeding identified through these searches, we recover the case file together with the case cover information, which reports the case number, subject matter, filing date, plaintiff, and defendant. The case file contains the complete sequence of judicial actions and the associated text recorded over the course of the proceeding.

Reconstructing Family-Law Histories. We use these individual-level searches to reconstruct the judicial history of each payer–recipient pair. Consider two individuals, A and B , who are linked through a Pichincha SUPA card. The searches described above may return proceedings involving A or B with many different parties. We therefore retain only family-law proceedings in which A and B appear as opposing parties, regardless of which individual is the plaintiff (Actores/Ofendidos) and which is the defendant (Demandados/Procesados). Thus, a proceeding is assigned to the pair whenever A appears as plaintiff and B as defendant, or B appears as plaintiff and A as defendant. We restrict this procedure to proceedings classified under the family-law subject matter (Materia) in SATJE and combine all qualifying proceedings chronologically. The resulting sequence constitutes the pair’s family-law judicial history in Pichincha.

This procedure is important because the judicial proceeding reported on the SUPA card need not be the first or only interaction between the two individuals in the family-court system. A pair may, for example, appear in separate proceedings involving divorce, dissolution of a consensual union, child support, pregnancy support, paternity, custody, or visitation. Reconstructing the complete sequence of shared family-law proceedings therefore allows us to identify the pair’s first observed judicial interaction and to characterize the family context in which the pair subsequently entered the child-support system.

Filtros de búsqueda

Número de causa: 17

Datos generales

Número de proceso 17

Fecha ingreso 23/11/2017 16:30

Materia FAMILIA MUJER NIÑEZ Y ADOLESCENCIA

Tipo de acción SUMARIO

Delito/Asunto ALIMENTOS

No.	Fecha	Actores/ Ofendidos	Demandados/ Procesados	Actuaciones Judiciales
Dependencia jurisdiccional: Unidad Judicial De Familia, Mujer, Niñez Y Adolescencia Con Sede En La Parroquia Iñaquito Del Distrito Metropolitano De Quito, Provincia De Pichincha Ciudad: Quito				
1	23/11/2017 16:30			

Figure 7: Example of a SATJE Judicial Record

Notes: The figure shows an example of the case information available through the public SATJE platform. The record identifies the judicial case number, subject matter, filing date, plaintiff, and defendant. We use these fields to identify family-law proceedings shared by the two individuals associated with a SUPA card and to reconstruct their joint judicial history. Personally identifying information is redacted.

C Extracting Information from SATJE Records

Beyond allowing us to reconstruct each pair’s family-law judicial history, SATJE provides information that is central to the determination of child-support obligations but is not recorded in SUPA. In particular, SUPA does not report the number of children or other beneficiaries for whom support is being claimed, nor whether the court recognizes additional family dependents of the defendant. Both are important inputs into the determination of child-support awards. This information, together with many other characteristics of the judicial process, appears in the text of judicial filings, hearings, and resolutions available through SATJE.

Because much of this information is contained in unstructured text, we use regular expressions and other rule-based text-parsing routines applied to the titles and body text of judicial entries to convert the court records into structured variables. Through this procedure, we identify hearings, judicial decisions, agreements between the parties, enforcement actions, and references to family circumstances relevant to the determination and enforcement of child support.

In particular, we recover the number of child-support beneficiaries and, when explicitly stated in the judicial record, their ages. We also identify whether the defendant is recognized as having additional family dependents and, when available, the number of such

dependents. In addition, we recover the timing of hearings, including the date of the first recorded hearing and the elapsed time between filing and hearing, as well as indicators for direct-payment arrangements, suspension of obligations, wage-withholding orders, detention and other coercive enforcement measures, requests for increases or reductions in support, and references to custody, visitation, paternity disputes, family conflict, and restrictions on leaving the country.

We also recover information on child-support awards reported in SATJE, including provisional and definitive pension amounts when these are explicitly stated in judicial resolutions or hearing records. When the same concept is observed in both SATJE and SUPA, we use the SATJE extraction to validate the corresponding measure but give priority to the value reported in SUPA, since SUPA is the administrative platform through which the maintenance obligation is recorded and administered.

In some cases, we complement the rule-based extraction with targeted validation using large language models. We use this approach selectively to verify information recovered from especially complex judicial text rather than to replace the underlying rule-based extraction procedure. Consistent with the project’s data-security protocols, all large-language-model processing was conducted locally on authorized machines so that judicial text and personally identifying information were not transmitted to external services.

The resulting dataset therefore combines the payment and administrative information recorded in SUPA with information on the family circumstances and judicial process under which child-support obligations are determined and enforced. Importantly, the SATJE records allow us to observe characteristics of the obligation that cannot be inferred from SUPA alone, including the number of beneficiaries covered by the claim and the additional family dependents recognized for the defendant.

D Linking to Administrative Records at INEC

Once the SUPA and SATJE records were combined and processed, we transferred the resulting dataset to the secure data environment of Ecuador’s National Institute of Statistics and Censuses (INEC). All subsequent linkages to confidential administrative and survey records were conducted within this environment using individuals’ national identification numbers. We linked the judicial dataset to the administrative labor-market records, Civil Registry, the 2015–2023 National Birth Registry, the 2022 Population Census, and the 2014–2024 waves of ENEMDU described in Section III.

An important additional step in this process is the validation and refinement of the payer–recipient pairs constructed from the public judicial records. Outside INEC’s secure

environment, the SUPA and SATJE records provide the national identification numbers and judicial roles of the parties but contain limited demographic information with which to assess whether a matched payer–recipient pair corresponds to the mother and father of the children covered by the child-support case. Linking these records to the Civil Registry and other administrative sources allows us to observe demographic characteristics, including each individual’s date of birth and sex, and to impose additional restrictions on the pairs used in the analysis.

We first validate national identification numbers by comparing demographic information across the linked sources, using the Civil Registry as our primary source for dates of birth. We then use the resulting demographic information to construct the parent-pair sample described in Section III. In particular, we restrict the sample to opposite-sex pairs in which both individuals were between ages 21 and 55 at the time of their first observed family-law proceeding and the age difference between the two parties was no more than 15 years. We waive the age-gap restriction when Civil Registry records indicate that the two individuals share the same marriage date, which provides independent evidence that the pair corresponds to a couple.

The administrative linkages also provide information used to further characterize the family histories of these pairs. Civil Registry records allow us to identify shared marriage dates, while the National Birth Registry provides information on recent fertility histories and the 2022 Population Census provides, among other characteristics, mothers’ age at first birth. These variables complement the judicial histories reconstructed from SATJE and are used to construct the analysis samples and comparison groups described in the main text.

Finally, linking the validated parent pairs to the administrative labor-market records allows us to construct monthly histories of formal employment and earnings before and after their family-law proceedings. The Census and ENEMDU provide complementary information on labor-force status and informal employment that is not observed in the administrative social-security records. Because valid national identification numbers are unavailable for a subset of Census records, Census linkage is performed at the individual level and does not require both members of a pair to be successfully linked.

Table 6: Comparison of everyone and HH samples

	Everyone	HH		
		All HH pairs	Census-linked	Analysis sample
Panel A. Fathers				
Age (mean)	33.83	35.90	35.99	36.05
	(7.68)	(7.55)	(7.59)	(7.59)
Formally employed (%)	51.43	54.73	58.43	58.98
Employment category (%)				
Wage-earner	93.45	92.38	92.95	92.98
Self-employed	3.60	3.98	3.64	3.74
Business owner	2.20	2.77	2.55	2.51
Monthly earnings among wage-earners	2.00	2.25	2.40	2.43
(min wage units)	(1.44)	(1.64)	(1.73)	(1.74)
Never formal (%)	21.71	20.38	19.65	19.66
Number of fathers	98,334	41,087	21,837	12,720
Panel B. Mothers				
Age (mean)	31.74	33.79	33.99	33.87
	(7.21)	(7.20)	(7.23)	(7.25)
Formally employed (%)	42.34	46.92	48.11	50.23
Employment category (%)				
Wage-earner	92.09	91.34	91.34	91.34
Self-employed	3.34	3.80	3.85	3.82
Business owner	1.56	2.19	2.03	1.98
Monthly earnings among wage-earners	1.77	2.00	2.07	2.16
(min wage units)	(1.31)	(1.49)	(1.53)	(1.56)
Never formal (%)	31.73	29.74	28.86	27.31
Number of mothers	98,334	41,087	27,715	12,720

Notes: The table compares the full sample (*Everyone*) with the household sample (*HH*) and its census-linked subsamples. In the *Analysis sample* column, the individual is census-linked and their partner in the same household is also census-linked. All characteristics are measured in the month prior to the filing of the first judicial event, except “Never formal,” which indicates that the individual is never observed in the formal social-security records before that filing. Employment-category shares are calculated among individuals observed in formal employment in the month prior to filing. Monthly earnings are reported only for wage-earners. Standard deviations are reported in parentheses for continuous variables.

Table 7: Comparison of everyone and Non-HH samples

	Everyone	Non-HH	
		All non-HH pairs	Analysis sample
<i>Panel A. Fathers</i>			
Age (mean)	33.83	29.93	30.03
	(7.68)	(6.35)	(6.45)
Formally employed (%)	51.43	51.38	52.72
Employment category (%)			
Wage-earner	93.45	96.37	96.60
Self-employed	3.60	1.68	1.57
Business owner	2.20	1.14	0.92
Monthly earnings among wage-earners	2.00	1.92	1.97
(min wage units)	(1.44)	(1.27)	(1.34)
Never formal (%)	21.71	22.34	19.85
Number of fathers	98,334	2,896	1,451
<i>Panel B. Mothers</i>			
Age (mean)	31.74	28.13	28.32
	(7.21)	(5.38)	(5.37)
Formally employed (%)	42.34	41.19	46.66
Employment category (%)			
Wage-earner	92.09	93.71	94.39
Self-employed	3.34	1.93	1.92
Business owner	1.56	0.84	0.44
Monthly earnings among wage-earners	1.77	1.74	1.74
(min wage units)	(1.31)	(1.20)	(1.14)
Never formal (%)	31.73	28.25	22.40
Number of mothers	98,334	2,896	1,451

Notes: The table compares the full sample (*Everyone*) with the non-household sample (*Non-HH*) and the corresponding analysis sample. All characteristics are measured in the month prior to the filing of the first judicial event, except “Never formal,” which indicates that the individual is never observed in the formal social-security records before that filing. Employment-category shares are calculated among individuals observed in formal employment in the month prior to filing. Monthly earnings are reported only for wage-earners. Standard deviations are reported in parentheses for continuous variables.

B Main Tables, Matching, and Additional Results

A Matching Procedure

This section describes the procedure used to construct the matched control groups in Exercises 1 and 3, as well as the alternative matching procedures used as robustness checks in Exercise 1.

Baseline matching procedure: t12 random. In both Exercises 1 and 3, our baseline approach matches fathers and mothers separately. The objective is to compare treated parents to untreated parents who are similar in observable demographic characteristics and in their formal labor-market trajectories prior to the reference event.

The pool of potential controls is drawn from married or cohabiting parents in Pichincha who are observed in stable households and are never linked to a child-support case in the judicial records. In Exercise 1, these controls provide the comparison group for parents who separate and enter the child-support system. In Exercise 3, the control pool is further restricted to couples whose first child is born within a stable household and who are likewise never observed in the child-support system.

For each treated individual, we define the relevant event month and then search for admissible controls within this pool. In Exercise 1, the event is the month of the first filing. In Exercise 3, the event is the month of the woman’s first birth. Matching is performed separately by gender. In the baseline specification, treated and control individuals must match exactly on age. For mothers, we additionally require an exact match on age at first birth. In Exercise 3, treated and control individuals must also be associated with births occurring in the same calendar year.

Within each admissible set, we further distinguish individuals according to whether they exhibit any formal labor-market activity during the twelve months preceding the event. Using the administrative social-security records, we classify an individual as formally active if he or she has positive formal labor income in at least one month between event time -12 and -1 . Treated individuals with pre-event formal activity are matched only to controls who also display formal activity in that window. Treated individuals with no pre-event formal activity are matched only to controls with no formal activity over the same period.

Among individuals with positive pre-event formal activity, similarity is measured using the full monthly earnings trajectory in the year preceding the event. Let w_{ik} denote formal monthly earnings in U.S. dollars for individual i in relative month $k \in \{-12, \dots, -1\}$. For each treated individual and each admissible control candidate, we construct the sequence $\log(1 + w_{ik})$ over the twelve pre-event months and recenter it by subtracting the individual’s

mean over that period. We then compute the sum of squared differences between the treated and control demeaned trajectories and select the control with the smallest distance. Thus, matching is based on the shape of pre-event earnings trajectories rather than on earnings levels. For treated individuals with no pre-event formal activity, the match is selected at random from among admissible controls satisfying the exact-matching restrictions and the no-activity requirement.

Matching is one-to-one, greedy, and without replacement. Because the availability of controls changes as matches are assigned, the resulting matches can depend on the order in which treated individuals are processed. In our baseline `t12 random` implementation, we randomize the order of treated individuals before applying the greedy matching algorithm, so that no systematic priority is given to individuals based on their position in the original data. Once a control is assigned to a treated individual, that control is removed from the pool and cannot be used again.

Event time is assigned differently across the two matched exercises. In Exercise 1, matched controls inherit the filing month of their treated counterpart. In Exercise 3, treated and control parents are indexed relative to the month of the woman’s first birth in their respective pair. In both cases, treated and control observations are expressed on a common relative-time scale for the event-study analysis.

Alternative 1: `t12`. The first alternative procedure is identical to the baseline `t12 random` algorithm in terms of the control pool, exact-matching restrictions, partition by pre-event formal activity, and distance metric. The only difference is the order in which treated individuals are processed. Rather than randomizing this order before matching, the `t12` implementation processes treated individuals in their original sample order. Comparing the results from `t12 random` and `t12` therefore provides a direct check of whether the event-study estimates are sensitive to the order dependence inherent in greedy one-to-one matching without replacement.

Alternative 2: `mah`. The second alternative procedure preserves the same overall structure as the baseline algorithm. Matching is still conducted separately for fathers and mothers, remains one-to-one and without replacement, applies the same exact-matching restrictions, and partitions treated individuals according to whether they had any formal labor-market activity during the twelve months before filing.

The difference lies in how similarity is measured for individuals with positive pre-event formal activity. Instead of comparing the full month-by-month earnings path, this procedure summarizes the pre-event earnings trajectory in the twelve months before the event using

four moments computed from $\log(1 + w)$: the mean, the standard deviation, the linear trend, and the share of months with positive formal labor income. Admissible controls are then ranked according to their Mahalanobis distance from the treated individual in this four-dimensional summary space, and the selected match is the admissible control with the smallest Mahalanobis distance. As in the baseline specification, treated individuals with no pre-event formal activity are matched at random within the relevant exact-matching cell among controls who also exhibit no formal activity in the pre-event window.

Alternative 3: household-level matching. The third alternative procedure performs the matching at the household level rather than separately for fathers and mothers. In this version, the unit of matching is the couple rather than the individual parent. Each treated household is matched to a stable untreated household in Pichincha that never enters the child-support system.

The matching cell is defined by the woman’s age, her age at first birth, and the couple’s joint pattern of formal labor-market activity during the twelve months preceding the filing month. Specifically, households are grouped according to whether neither parent, only the mother, only the father, or both parents exhibit positive formal labor income during that window. Within these admissible cells, pre-event earnings trajectories are compared using the same logic as in the individual-level procedure: when both parents are formally active, similarity is based on both parents’ pre-event earnings paths; when only one parent is formally active, similarity is based on that parent’s path; and when neither parent is formally active, matching is random within the cell. Matching is again one-to-one and without replacement. The resulting household matches are then used to construct separate event-study samples for fathers and mothers.

Appendix Tables 8 and 9 report balance in demographic characteristics and pre-event labor-market outcomes for the matched samples used in the main analysis of Section IV and Section 2 respectively. Appendix Figure 8 report the corresponding results under these alternative matching procedures.

Table 8: Balance of Covariates in the Matched Stable-Household Sample

<i>Panel A. Fathers</i>				
	Treated	Control	Diff.	p-value
Age	42.554	42.554	0.000	1.000
Formal employment (share)	0.604	0.605	0.000	0.940
Mean wage (pre-event)	565.885	559.598	6.288	0.572
<i>N</i>	12,720			
<i>Panel B. Mothers</i>				
	Treated	Control	Diff.	p-value
Age	40.401	40.401	0.000	1.000
Age at first child	22.431	22.431	0.000	1.000
Total live births	2.314	2.314	0.000	1.000
Formal employment (share)	0.504	0.515	−0.010	0.083
Mean wage (pre-event)	390.993	380.156	10.837	0.200
<i>N</i>	12,155			

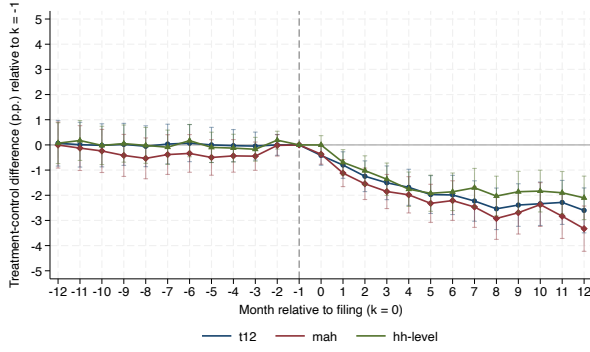
Notes: The table presents covariate means for the treated and control groups in the matched stable-household comparison, separately for fathers and mothers, measured before the reference event. The matching procedure successfully matches 100% of eligible fathers and 95.5% of eligible mothers.

Table 9: Balance of Covariates in the Matched Alternative Path into CS

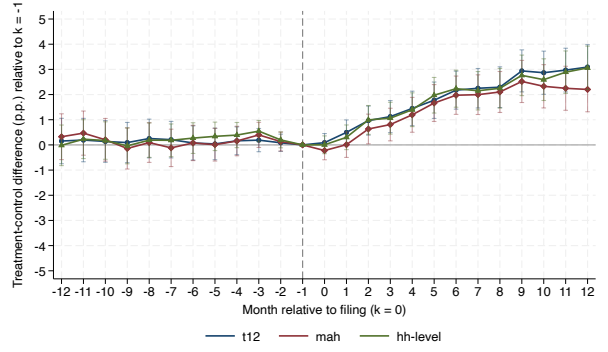
<i>Panel A. Fathers</i>				
	Treated	Control	Diff.	p-value
Age	34.650	34.650	0.000	1.000
Formal employment (share)	0.524	0.532	−0.008	0.656
Mean wage (pre-event)	405.189	523.69	−124.433	0.000
<i>N</i>	1,451			
<i>Panel B. Mothers</i>				
	Treated	Control	Diff.	p-value
Age	31.467	31.467	0.000	1.000
Age at first child	25.593	25.593	0.000	1.000
Formal employment (share)	0.465	0.494	−0.030	0.161
Mean wage (pre-event)	309.092	386.84	−77.11	0.001
<i>N</i>	972			

Notes: The table presents covariate means for the treated and control groups in the matched separated-household comparison, separately for fathers and mothers, measured before the reference event. The matching procedure successfully matches 100% of eligible fathers and 67% of eligible mothers.

Formal employment

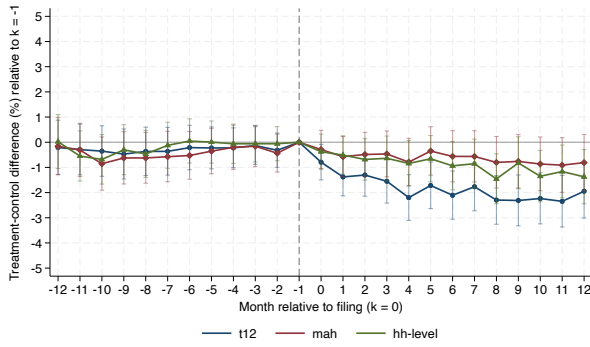


(a) Fathers

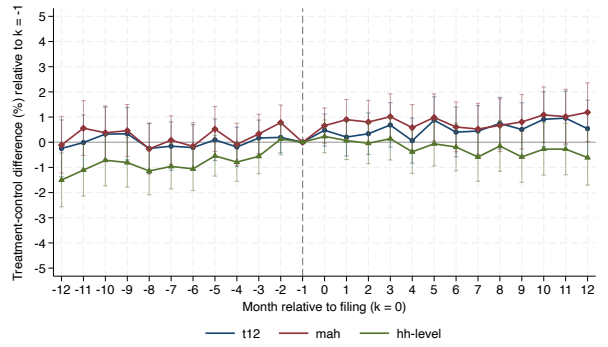


(b) Mothers

formal labor income



(c) Fathers



(d) Mothers

Figure 8: **Event-study estimates relative to matched stable households.** The top row reports estimates for formal employment, while the bottom row reports estimates for log formal labor income. Fathers are shown in the left column and mothers in the right column.

B Main Tables

Table 10: HH vs. stable HH

	Sample of fathers		Sample of mothers	
	Participation	Earnings	Participation	Earnings
$t = -12$	0.08 (0.46)	-0.21 (0.55)	0.11 (0.46)	-0.35 (0.58)
$t = -11$	0.01 (0.45)	-0.27 (0.51)	0.15 (0.44)	-0.07 (0.56)
$t = -10$	-0.01 (0.44)	-0.43 (0.51)	0.11 (0.42)	0.24 (0.55)
$t = -9$	0.03 (0.43)	-0.56 (0.51)	0.03 (0.41)	0.28 (0.53)
$t = -8$	-0.05 (0.41)	-0.43 (0.49)	0.21 (0.39)	-0.26 (0.51)
$t = -7$	0.04 (0.40)	-0.48 (0.48)	0.15 (0.37)	-0.11 (0.49)
$t = -6$	0.08 (0.38)	-0.28 (0.45)	0.04 (0.35)	-0.17 (0.46)
$t = -5$	-0.00 (0.36)	-0.24 (0.42)	-0.01 (0.32)	0.06 (0.42)
$t = -4$	-0.03 (0.33)	-0.28 (0.40)	0.11 (0.28)	-0.27 (0.40)
$t = -3$	-0.05 (0.28)	-0.16 (0.38)	0.15 (0.24)	0.17 (0.36)
$t = -2$	-0.01 (0.21)	-0.39 (0.35)	0.05 (0.17)	0.16 (0.31)
$t = 0$	-0.48** (0.20)	-0.85** (0.36)	-0.11 (0.19)	0.43 (0.32)
$t = 1$	-0.93*** (0.27)	-1.49*** (0.38)	0.17 (0.25)	0.27 (0.39)
$t = 2$	-1.37*** (0.31)	-1.36*** (0.43)	0.81*** (0.30)	0.34 (0.42)
$t = 3$	-1.74*** (0.34)	-1.50*** (0.44)	1.10*** (0.33)	0.56 (0.45)
$t = 4$	-2.03*** (0.37)	-2.11*** (0.46)	1.55*** (0.35)	-0.09 (0.46)
$t = 5$	-2.30*** (0.39)	-1.63*** (0.47)	1.84*** (0.37)	0.75 (0.47)
$t = 6$	-2.27*** (0.40)	-2.05*** (0.49)	2.22*** (0.38)	0.40 (0.51)
$t = 7$	-2.47*** (0.41)	-2.03*** (0.49)	2.43*** (0.40)	0.38 (0.52)
$t = 8$	-2.85*** (0.43)	-2.50*** (0.50)	2.45*** (0.41)	0.69 (0.53)
$t = 9$	-2.69*** (0.44)	-2.40*** (0.52)	3.02*** (0.43)	0.63 (0.54)
$t = 10$	-2.68*** (0.44)	-2.29*** (0.52)	2.87*** (0.44)	0.87 (0.56)
$t = 11$	-2.72*** (0.45)	-2.34*** (0.53)	3.02*** (0.44)	0.74 (0.55)
$t = 12$	-3.10*** (0.46)	-1.95*** (0.55)	3.14*** (0.45)	0.47 (0.58)
Mean dep. var.	60.47	559.60	51.46	380.16
N	636,000	237,665	607,750	196,034

Participation coefficients are reported in percentage points. Earnings coefficients are reported as percent changes, computed as $100(\exp(\beta) - 1)$. Standard errors for earnings are obtained using the delta method. Mean dependent variables are the control-group averages over the pre-treatment period $t = -12$ to $t = -1$.

Table 11: HH vs. HH that separate without CS

	Sample of fathers		Sample of mothers	
	Participation	Earnings	Participation	Earnings
$t = -12$	-0.01 (0.82)	0.24 (1.35)	0.36 (0.79)	0.25 (1.19)
$t = -11$	-0.28 (0.80)	1.41 (1.36)	0.52 (0.77)	1.38 (1.18)
$t = -10$	-0.11 (0.79)	0.88 (1.18)	0.40 (0.73)	1.21 (1.12)
$t = -9$	-0.18 (0.75)	-0.31 (1.13)	0.11 (0.70)	0.71 (1.09)
$t = -8$	0.15 (0.70)	-0.06 (1.22)	0.25 (0.68)	-0.03 (1.07)
$t = -7$	-0.09 (0.66)	0.53 (1.00)	-0.37 (0.64)	1.03 (1.17)
$t = -6$	-0.02 (0.63)	0.88 (0.99)	0.13 (0.60)	-0.24 (1.00)
$t = -5$	-0.01 (0.59)	0.02 (0.79)	0.75 (0.54)	0.27 (0.96)
$t = -4$	-0.25 (0.53)	-0.77 (0.79)	0.78 (0.49)	0.24 (0.89)
$t = -3$	-0.19 (0.45)	0.84 (0.80)	0.63 (0.43)	1.41* (0.74)
$t = -2$	0.18 (0.36)	-0.27 (0.76)	0.53 (0.33)	0.52 (0.68)
$t = 0$	-0.19 (0.39)	-1.40 (0.86)	-0.23 (0.30)	0.82 (0.56)
$t = 1$	-0.89* (0.50)	-1.70* (0.92)	-0.23 (0.42)	0.51 (0.76)
$t = 2$	-1.06** (0.53)	-1.66 (1.08)	0.04 (0.48)	0.72 (0.85)
$t = 3$	-1.04* (0.59)	-1.84* (0.97)	0.32 (0.56)	1.07 (0.88)
$t = 4$	-1.29** (0.65)	-1.92* (1.09)	0.30 (0.61)	0.72 (0.89)
$t = 5$	-1.67** (0.70)	-1.28 (1.03)	0.49 (0.64)	1.62* (0.95)
$t = 6$	-1.65** (0.71)	-1.80 (1.14)	0.54 (0.67)	1.10 (0.98)
$t = 7$	-1.84** (0.72)	-1.22 (1.09)	0.26 (0.70)	1.33 (0.97)
$t = 8$	-2.11*** (0.75)	-2.50** (1.07)	0.31 (0.73)	1.53 (1.00)
$t = 9$	-1.77** (0.78)	-2.45** (1.21)	0.72 (0.76)	0.83 (1.04)
$t = 10$	-1.50* (0.81)	-2.07* (1.21)	0.73 (0.79)	1.23 (1.02)
$t = 11$	-1.61** (0.81)	-2.58** (1.21)	0.80 (0.81)	0.59 (1.01)
$t = 12$	-1.92** (0.83)	-0.42 (1.40)	0.86 (0.83)	0.52 (1.11)
Mean dep. var.	60.13	6.673	50.84	6.564
N	365,550	126,546	355,275	107,107

Participation coefficients are reported in percentage points. Earnings coefficients are reported as percent changes, computed as $100(\exp(\beta) - 1)$. Standard errors for earnings are obtained using the delta method.

Table 12: Alternative entry into CS: Non-HH

	Sample of fathers		Sample of mothers	
	Participation	Earnings	Participation	Earnings
$t = -12$	0.41 (1.55)	-1.09 (2.11)	1.43 (1.70)	-3.15 (2.47)
$t = -11$	0.27 (1.55)	-0.16 (1.92)	1.83 (1.66)	-3.52* (2.10)
$t = -10$	0.13 (1.51)	-0.21 (1.82)	1.06 (1.59)	-2.06 (2.22)
$t = -9$	-0.24 (1.48)	-0.20 (1.76)	1.02 (1.55)	-0.96 (2.10)
$t = -8$	-0.12 (1.42)	-1.23 (1.72)	1.27 (1.41)	-1.71 (2.04)
$t = -7$	-0.10 (1.34)	-0.15 (1.59)	2.25* (1.22)	-1.85 (2.03)
$t = -6$	-0.10 (1.25)	-0.61 (1.65)	1.65 (1.00)	-2.96 (1.90)
$t = -5$	-0.18 (1.21)	1.22 (1.56)	1.55** (0.78)	-2.13 (1.96)
$t = -4$	0.21 (1.06)	-0.66 (1.42)	1.49** (0.66)	-2.57 (1.78)
$t = -3$	0.21 (0.91)	-0.23 (1.40)	1.07* (0.58)	-2.05 (1.72)
$t = -2$	0.17 (0.65)	-0.13 (1.15)	0.68* (0.40)	-2.75* (1.60)
$t = -1$	0.00 (0.00)	0.00 (0.00)	0.00 (0.00)	0.00 (0.00)
$t = 0$	-1.13* (0.62)	1.78* (1.05)	-0.06 (0.44)	-3.53* (1.99)
$t = 1$	-2.17** (0.91)	0.65 (1.31)	-0.41 (0.60)	-2.71 (1.90)
$t = 2$	-2.63** (1.09)	-0.90 (1.57)	0.33 (0.72)	-3.61* (1.91)
$t = 3$	-3.55*** (1.19)	0.42 (1.56)	0.41 (0.84)	-4.63** (1.95)
$t = 4$	-3.83*** (1.22)	-1.71 (1.60)	0.55 (1.15)	-2.84 (2.00)
$t = 5$	-2.99** (1.29)	-1.39 (1.66)	1.78 (1.23)	-1.61 (2.01)
$t = 6$	-3.96*** (1.33)	-0.71 (1.88)	1.68 (1.29)	-1.92 (2.09)
$t = 7$	-4.90*** (1.37)	-2.44 (1.72)	1.98 (1.34)	-1.72 (2.22)
$t = 8$	-6.26*** (1.42)	-2.90* (1.71)	2.72** (1.37)	0.49 (2.21)
$t = 9$	-5.83*** (1.46)	-1.54 (1.81)	3.34** (1.44)	-0.17 (2.21)
$t = 10$	-6.22*** (1.49)	-0.30 (1.80)	3.14** (1.51)	-0.24 (2.37)
$t = 11$	-6.77*** (1.51)	-0.63 (1.81)	3.54** (1.54)	-0.83 (2.32)
$t = 12$	-7.03*** (1.53)	-1.31 (1.91)	4.21*** (1.56)	-0.63 (2.29)
Mean dep. var.	53.19	529.62	49.43	389.39
N	72,550	23,225	48,600	14,575

Participation coefficients are reported in percentage points. Earnings coefficients are reported as percent changes, computed as $100(\exp(\beta) - 1)$. Standard errors for earnings are obtained using the delta method. Mean dependent variables are the control-group averages over the pre-treatment period $t = -12$ to $t = -1$.

C Additional tables and figures

Table 13: Labor-Market Adjustment After Entry into the Child-Support System

	Inactive (1)	Unemployed (2)	Formal (3)	Informal (4)
<i>Panel A. Fathers</i>				
Treated	0.012*** (0.002)	0.017*** (0.003)	−0.031*** (0.006)	0.003 (0.006)
Obs.	23,753	23,753	23,753	23,753
<i>Panel B. Mothers</i>				
Treated	−0.098*** (0.005)	0.004 (0.004)	0.050*** (0.006)	0.044*** (0.005)
Obs.	22,781	22,781	22,781	22,781

Notes: The table reports the coefficient on the treatment indicator from Equation (2) for the matched stable-household comparison, separately for fathers and mothers. Individuals are classified as inactive, unemployed, or employed using the 2022 Population Census. Among employed individuals, columns (3) and (4) classify formal and informal employment using self-reported social-security contribution status in the Census. All specifications control for age, the elapsed time between the reference event and the Census interview, the number of months of formal employment prior to the event, and the mean wage, modal employer type, and modal employment sector over the 12 months preceding the event. Robust standard errors are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 14: Labor-Market Adjustment by Pre-Event Formal-Employment Status

	Labor-market status			
	Inactive (1)	Unemployed (2)	Formal (3)	Informal (4)
<i>Panel A. Fathers</i>				
Treated: Pre-event non-formal	0.019*** (0.005)	0.018*** (0.005)	0.023** (0.010)	−0.060*** (0.010)
Treated: Pre-event formal	0.007*** (0.002)	0.016*** (0.003)	−0.063*** (0.007)	0.041*** (0.006)
Difference	−0.013** (0.006)	−0.002 (0.005)	−0.086*** (0.012)	0.100*** (0.012)
Obs.	23,753	23,753	23,753	23,753
<i>Panel B. Mothers</i>				
Treated: Pre-event non-formal	−0.161*** (0.008)	0.004 (0.006)	0.100*** (0.008)	0.057*** (0.009)
Treated: Pre-event formal	−0.040*** (0.005)	0.003 (0.004)	0.008 (0.008)	0.029*** (0.006)
Difference	0.121*** (0.010)	−0.001 (0.007)	−0.091*** (0.011)	−0.028** (0.011)
Obs.	22,781	22,781	22,781	22,781

Notes: The table reports estimates of Equation (3) for the matched stable-household comparison, separately for fathers and mothers. “Pre-event formal” indicates that the individual was formally employed three months before the reference event. The first row of each panel reports the treated–control difference among individuals who were not formally employed three months before the event (β), while the second row reports the corresponding difference among individuals who were formally employed ($\beta + \delta$). The third row reports the difference between these two estimates (δ).

Labor-market status is measured using the 2022 Population Census. Individuals are classified into four mutually exclusive and exhaustive states: inactive, unemployed, formally employed, or informally employed. Among employed individuals, formal and informal employment are distinguished using self-reported social-security contribution status in the Census. All four outcomes are defined over the same estimation sample.

All specifications control for age, the elapsed time between the reference event and the Census interview, the number of months of formal employment prior to the event, and the mean wage, modal employer type, and modal employment sector over the 12 months preceding the event. Robust standard errors are reported in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 15: Labor-Market Adjustment After Entry into the Child-Support System (noCS Control)

	Inactive (1)	Unemployed (2)	Formal (3)	Informal (4)
<i>Panel A. Fathers</i>				
Treated	−0.030*** (0.011)	0.005 (0.008)	−0.002 (0.016)	0.027* (0.016)
Obs.	12,749	12,749	12,749	12,749
<i>Panel B. Mothers</i>				
Treated	−0.033*** (0.012)	0.015* (0.008)	0.014 (0.014)	0.005 (0.014)
Obs.	12,456	12,456	12,456	12,456

Notes: As in Table 3, but using an unmatched comparison group: household dissolutions without dependent children, taken directly from the administrative registry without covariate matching. Robust standard errors in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 16: Labor-Market Adjustment by Pre-Event Formal-Employment Status (noCS Control)

	Labor-market status			
	Inactive (1)	Unemployed (2)	Formal (3)	Informal (4)
<i>Panel A. Fathers</i>				
Treated: Pre-event non-formal	−0.034 (0.036)	−0.005 (0.018)	−0.049*** (0.007)	0.087** (0.039)
Treated: Pre-event formal	−0.030*** (0.011)	0.007 (0.009)	0.009 (0.019)	0.014 (0.018)
Difference	0.004 (0.038)	0.012 (0.020)	0.058*** (0.019)	−0.073* (0.042)
Obs.	12,749	12,749	12,749	12,749
<i>Panel B. Mothers</i>				
Treated: Pre-event non-formal	−0.005 (0.036)	0.056*** (0.021)	−0.038*** (0.007)	−0.013 (0.038)
Treated: Pre-event formal	−0.039*** (0.012)	0.006 (0.009)	0.025 (0.016)	0.008 (0.015)
Difference	−0.035 (0.038)	−0.050** (0.022)	0.063*** (0.017)	0.021 (0.040)
Obs.	12,456	12,456	12,456	12,456

Notes: As in Table 4, but using the unmatched noCS control group described in Table 15. Robust standard errors in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 17: Labor-Market Adjustment After Entry into the Child-Support System (Non-HH Matching)

	Inactive (1)	Unemployed (2)	Formal (3)	Informal (4)
<i>Panel A. Fathers</i>				
Treated	0.016** (0.008)	0.031*** (0.010)	-0.103*** (0.019)	0.056*** (0.020)
Obs.	2,143	2,143	2,143	2,143
<i>Panel B. Mothers</i>				
Treated	-0.104*** (0.019)	0.035** (0.017)	0.031 (0.021)	0.039* (0.022)
Obs.	1,585	1,585	1,585	1,585

Notes: As in Table 3, but using the non-household-based matched comparison sample. Robust standard errors in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.

Table 18: Labor-Market Adjustment by Pre-Event Formal-Employment Status (Non-HH Matching)

	Labor-market status			
	Inactive (1)	Unemployed (2)	Formal (3)	Informal (4)
<i>Panel A. Fathers</i>				
Treated: Pre-event non-formal	0.023* (0.014)	0.014 (0.016)	−0.073*** (0.027)	0.035 (0.030)
Treated: Pre-event formal	0.010 (0.007)	0.047*** (0.013)	−0.136*** (0.027)	0.079*** (0.025)
Difference	−0.013 (0.015)	0.033 (0.021)	−0.063* (0.038)	0.044 (0.040)
Obs.	2,143	2,143	2,143	2,143
<i>Panel B. Mothers</i>				
Treated: Pre-event non-formal	−0.146*** (0.031)	0.041 (0.026)	0.046* (0.027)	0.059* (0.034)
Treated: Pre-event formal	−0.053*** (0.018)	0.027 (0.020)	0.014 (0.032)	0.013 (0.025)
Difference	0.093*** (0.036)	−0.014 (0.033)	−0.032 (0.042)	−0.047 (0.042)
Obs.	1,585	1,585	1,585	1,585

Notes: As in Table 4, but using the non-household-based matched comparison sample described in Table 17. Robust standard errors in parentheses. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.